NPTEL COURSE

# BUSINESS DEVELOPMENT
## From Start to Scale

## Week 9: Lectures 41 to 45
## Business Development Structures

## Lecture 41: Collaborations

Prof. C Bhaktavatsala Rao, Ph.D.
Ajit Singhvi Chair Professor
Department of Management Studies
Indian Institute of Technology Madras
and
Founder – LeaderCrest Academy

# Business Development Structures

No company can be self-sufficient and self-reliant. Inorganically, companies must complement each other's strengths to optimally deploy resources and grow in a sustainable way. Five areas are summarized below.

| | |
|---|---|
| Collaborations | • One party provides its expertise to the other party for a consideration<br>• Usually, a time-bound arrangement |
| Alliances | • Bring together complementing strengths of the parties across value chain<br>• The parties remain as independent entities but function as long-term allies |
| Joint Ventures | • Both the parties create a new legal entity to take forward a new business<br>• The parties invest their capital, resources and goodwill in the new joint venture |
| Subsidiaries | • A party incorporates a wholly owned or partially owned subsidiary to take care of a proposed unique work<br>• Usually, created to induct fresh capital or technology independently – at the time of establishment or later |
| Mergers and Acquisitions | • Change the ownership and capital structure of the partners substantially<br>• Create a new corporate form which is much larger than the individual entities, pre-merger or acquisition |

This lecture focuses on collaborations as a way to grow for companies, relying on the needed inorganic inputs

# Coalitions

Coalitions are the simplest form of collaboration between firms, that can be easily assembled or disassembled.

- Code Share Arrangements of Airlines
- Portable Loyalty Points of Airlines
- Exchange Programmes of Universities
- Venture Capital Forums
- Technology Associations
- Industry-Academic Tie-ups

Coalitions help the collaborators to test the waters of mutual association and gain from each other's clients.

# Coalitions are Simple

Coalitions enable each member of the collaboration offer respective strengths for the benefit of all the members.

The code share arrangements and loyalty point programmes of different airlines…

….help in positioning the constituents in the traveller space with better global connections and improved loyalty points

Typically, a member airline remains as an exclusive member rather than become a member of multiple programmes

STAR ALLIANCE

SKYTEAM

oneworld

UNITED MileagePlus

SINGAPORE AIRLINES KRISFLYER

Flying Returns एअर इंडिया AIR INDIA A STAR ALLIANCE MEMBER

VALUE ALLIANCE

Coalitions make customers build loyalty to the airline brands and routes. Backend codeshares cascade business.

# Coalitions Versus Cartels

Coalitions should not be misconstrued as cartels. Coalitions are above board arrangements. Cartels invite scrutiny.

Business chambers
Business in CSR
etc.,

| Coalitions are open corporate arrangements which work in favour of customer interests | Cartels are secretive and collusive arrangements which work against customer interests |
|---|---|

Price cartels
Supply cartels
Operator syndicates etc.,

Certain industrial or economic conditions may prompt formation of cartels which needs to be discouraged

# Franchising

Franchising is a well-established business development strategy, useful in enabling a quick business entry

In franchising, one party (the franchisor) grants some authorities to the other party (the franchisee) to operate

Typically, the franchisor gives rights to the franchisee to represent and sell the former's goods or services in the assigned territories

As part of the arrangement, the franchisee gets the rights to use the franchisor's brand and trademark for a monetary consideration

At times, the franchise may also involve a supplemental collaboration for the franchisee to acquire technical and managerial knowhow to run the business as per the franchisor's standards

Franchise agreements are some of the easiest forms of collaboration to expand business, saving costs mutually

# Franchising: Advantages and Disadvantages

Franchising is a well-established business development strategy, useful in enabling a quick business entry.

## Advantages

### For the Franchisor

- Easy way to expand business
- Low operating costs, only income accrues
- Brand and corporate name in new markets
- Multiple franchises can be given, hedging risk

### For the Franchisee

- Quick business based on the franchisor's name
- Saves time and costs on developing knowhow
- Continuous support and updates from franchisor
- Gains immense business knowledge

## Disadvantages

### For the Franchisor

- Lack of direct control over operations
- Quality failures will impact franchisor brand
- Current franchisee may turn future competitor
- High risk of leakage of trade secrets

### For the Franchisee

- Lack of full control over business
- Cannot localise due to franchisor's policies
- One-time and regular royalties suck profits
- May be confined to few areas permanently

While franchising is a great way to start, misaligned expectations and operations could become sore points.

# Franchising in Hotels, Hospitality and Healthcare

Franchising works well in hotels, hospitality and hospital industrial sectors, as evidenced in the Indian situation.

McDonald's

Domino's

Subway

Sheraton

Patanjali

First Cry

Lenskart

Archies

Apollo Hospitals

In addition, franchising works well in automobile and FMCG dealerships or distribution arrangements.

# For Franchising to Work Well….

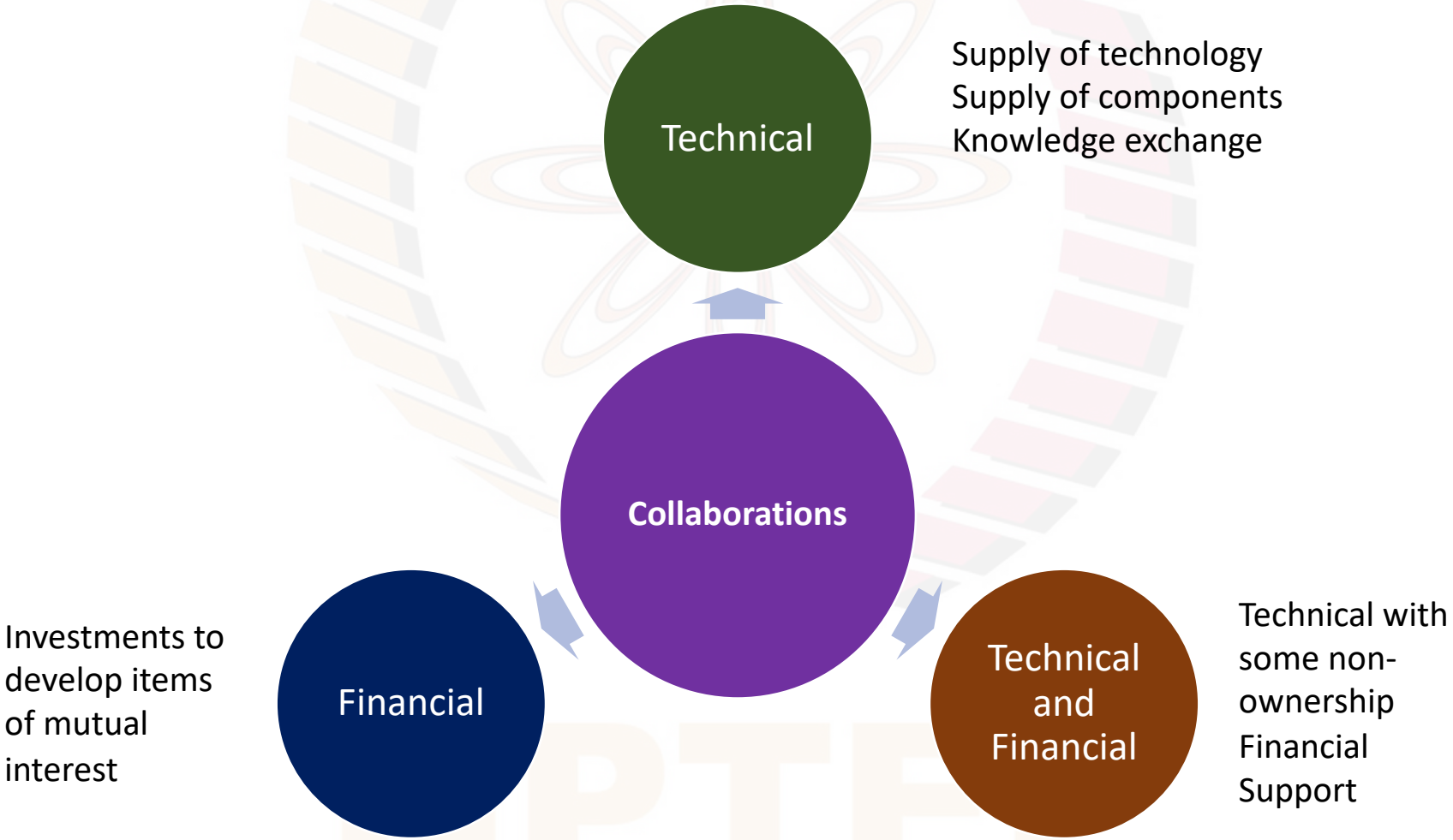
Franchising works well when a few conditions are meaningfully set, and operations managed in trust.

- Franchisor has strong brand and operational strengths
- Franchisee has at least some start-up resources and local market reach
- Mutual expectations are motivational yet reasonable
- Franchisor and franchisee have only a limited number of non-exclusive parallel arrangements with others
- Terms and conditions, including financials, are reasonably set in line with business prospects
- Each other's business interests are protected, including intellectual property

In the long term, franchising helps both the parties to absorb each other's strengths and evolve independently

# Collaborations

Collaborations are some of the most fundamental business development structures, deployed for years.




Technical collaborations help bridge the gaps in capabilities for some mutually agreed consideration.

# Indian History of Collaborations

Indian industry evolved in the post-independence era based on technical collaborations with overseas partners

## Public Sector Steel Plants

Many of India's steel plants (Bhilai, Bokaro, Rourkela etc.,) were set up in the 1950s with foreign collaborations, in government to government collaboration

## Auto Component Companies

Most of automobile component plants (TVS, Rane etc.,) were set up in the 1950s and 1960s with foreign collaborations, in private sector

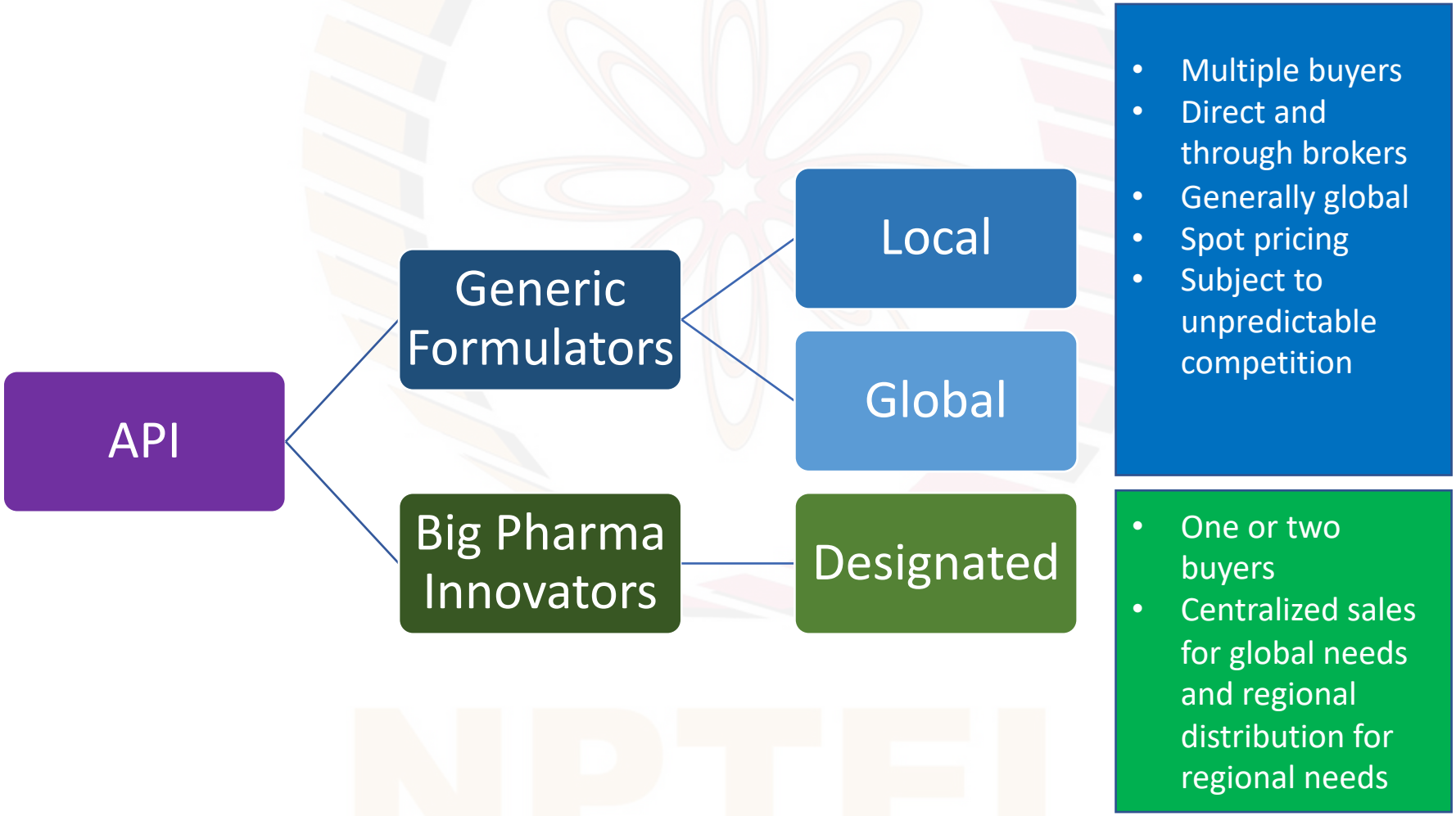
## Engineering Companies

From Jessop & Co to L&T, foreign technical collaborations helped many engineering companies grow significantly

Many of the collaborations were accompanied by grants or aid packages from the companies or governments

# Pharmaceutical Collaboration

The advantage of the collaboration route is that parties can explore multiple arrangements. As an example, bulk drugs or APIs have multiple medicinal uses and can be regularly marketed, regionally or globally.




Business Development must create the right balance between the value-volume parameters. Institutional collaboration greatly strengthens business if the firm can excel on technology and quality parameters.

# Technical Collaborations

India's industrial growth owes a lot to technical collaborations, some of them with financial support as well.

Technical collaborations represent one of the most important methodologies of mutual growth.

Technical collaborations are also limited-period arrangements, of say 5 to 10 years, mutually extendable or terminable based on performance and needs.

Technical collaborations involve supply of technology in exchange for technical knowhow fees, and royalties on commercial manufacture of products.

In many cases, supply of components, machine tools, dies, tooling and moulds are provided by the technical partner based on separate commercial payment arrangements.

The domestic partner can make capital-efficient choices in this route

Both parties are able to assess each other in terms of tangible deliverables.

Technical collaborations are excellent options for developing economies in cases where domestic market size is huge and there exist multiple options for accessing technologies from abroad.

# Commercial Vehicle Industry

India's commercial vehicle industry is a prime example of technical collaborations providing the essential product and marketing competencies to the indigenous manufacturers in the post-independence era.

Photo Courtesy team-bhp.com

In 1954, TELCO's technical collaboration with Benz helped Telco enter truck production in India. It was a 10-year agreement, extended by another 5 years. The collaboration ended in 1969 but provided the capability to Telco keep developing its own indigenous trucks and buses. Telco was renamed as Tata Motors in 2003.

Photo courtesy commercialvehicle.in

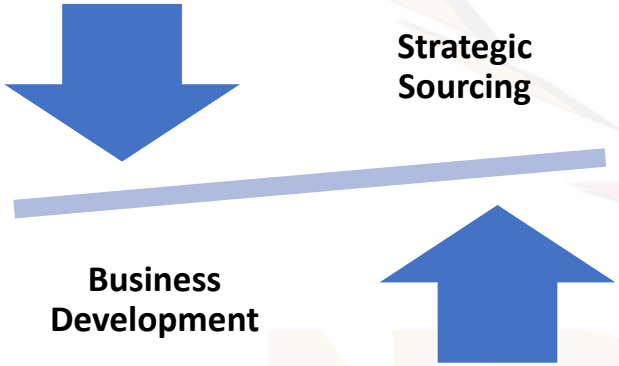
In 1950, an agreement with Leyland UK gave which Ashok Motors the sole rights to import, assemble and progressively manufacture Leyland trucks. In 1954, the Government granted a manufacturing license and in 1955 the company name was changed to Ashok Leyland Ltd with equity participation from Leyland Motors Ltd.

In contrast with Telco, Ashok Leyland continued with a policy of selective technical collaborations for its growth.

# Ashok Leyland Collaborations

# A Larger Relationship…

A partner-corporation may market its technology for a consideration under a technical collaboration but may also seek a larger benefit in terms of sourcing of components after indigenization of the technology.



Business development of a corporation, at times, aligns with strategic sourcing of the partner corporation.

# Technical Collaborations Can Progress…

Well executed and well managed technical collaborations progress to higher levels, sequentially and in parallel

**Technical Collaborations**

Supply of technology in return for knowhow fee and royalty

**Technology and Supply Alliances**

Broader supply of technology and sourcing of components

**Financial Collaborations**

Financial participation in equity or debt to forge some level of long-term relationship

**Joint Ventures**

Creation of a new venture with participation from both the parties

**Mergers & Acquisitions**

The larger party acquiring the smaller party or even a merger of near-equals

In such progression, partners realise the strengths of both the partners, becoming one entity in the long term.

# Collaborating for Innovation

Collaborating for innovation is a specialized aspect of technical collaboration where problems are shared.

**Four Ways of Technical Collaboration**

**Hierarchical Governance and Open Participation**
*Eli Lilly's innovation mall for drug development*

## Innovation Plaza

A company can post a problem on its special portal for anyone to post a solution which can lead the company on to a process of selection and collaboration

## Innovation Community

A group of companies can form an informal community to discuss problems, exchange solutions and take whatever suits them

**Flat Governance and Open Participation**
*Linux open source software community*

**Hierarchical Governance and Closed Participation**
*Pfizer's tie-up with BioNTech to develop mRNA vaccines*

## Chosen Circle

A company can have contractual relationships with chosen groups of individuals or entities to tap into their expertise on specific needs

## Consortium

A group of companies can form a formal consortium which ensures continuous technological upgradation and innovation for its members

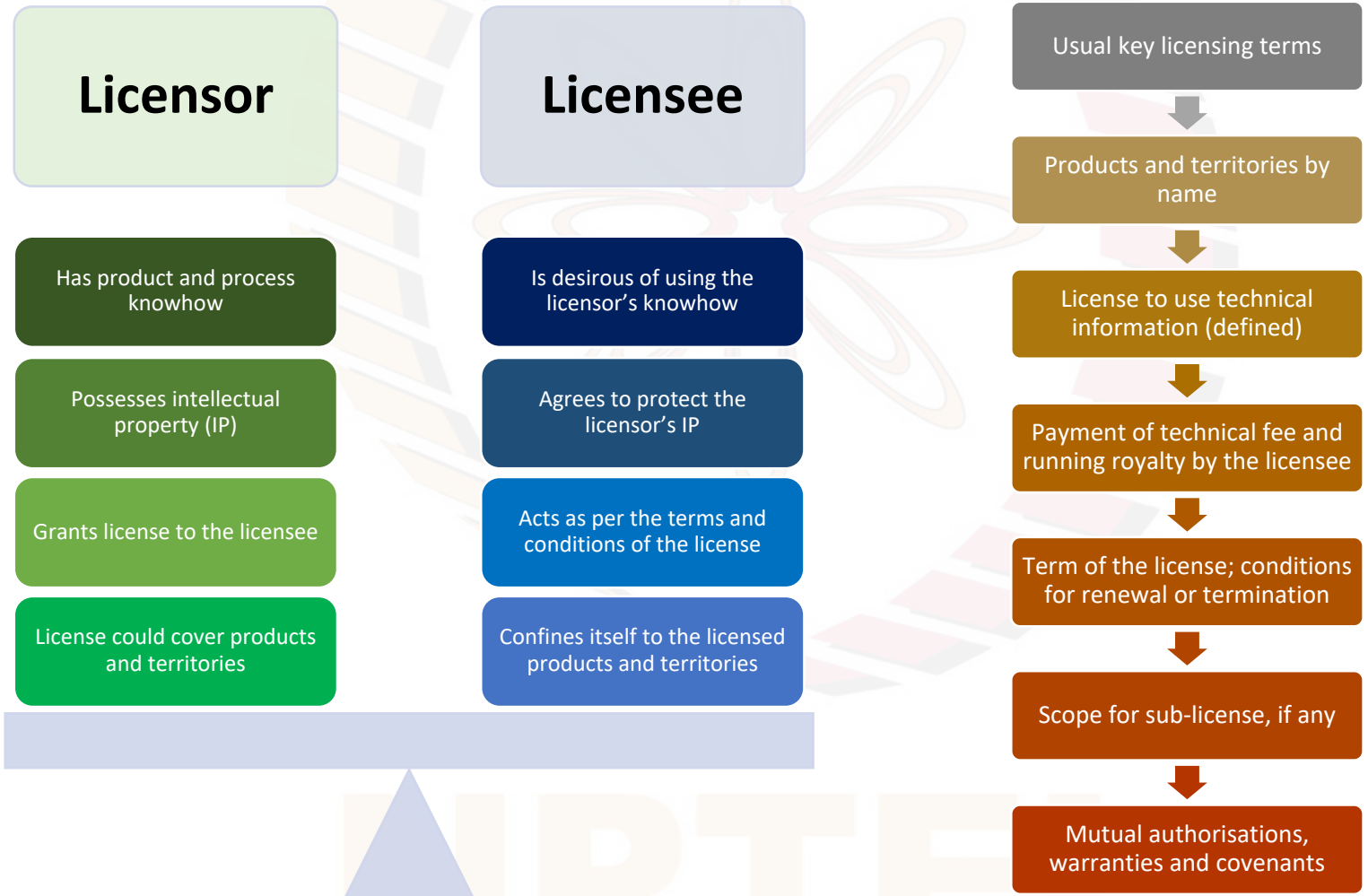
**Flat Governance and Closed Participation**
*IBM's exclusive tie-ups to develop semiconductor technologies*

Adapted from: Gary Pisano and Roberto Verganti. Which kind of collaboration is right for you? Harvard Business Review, December 2008

In today's digital world, the boundaries for innovation have come down substantially with multiple modes.

# The Licensor – Licensee Relationship

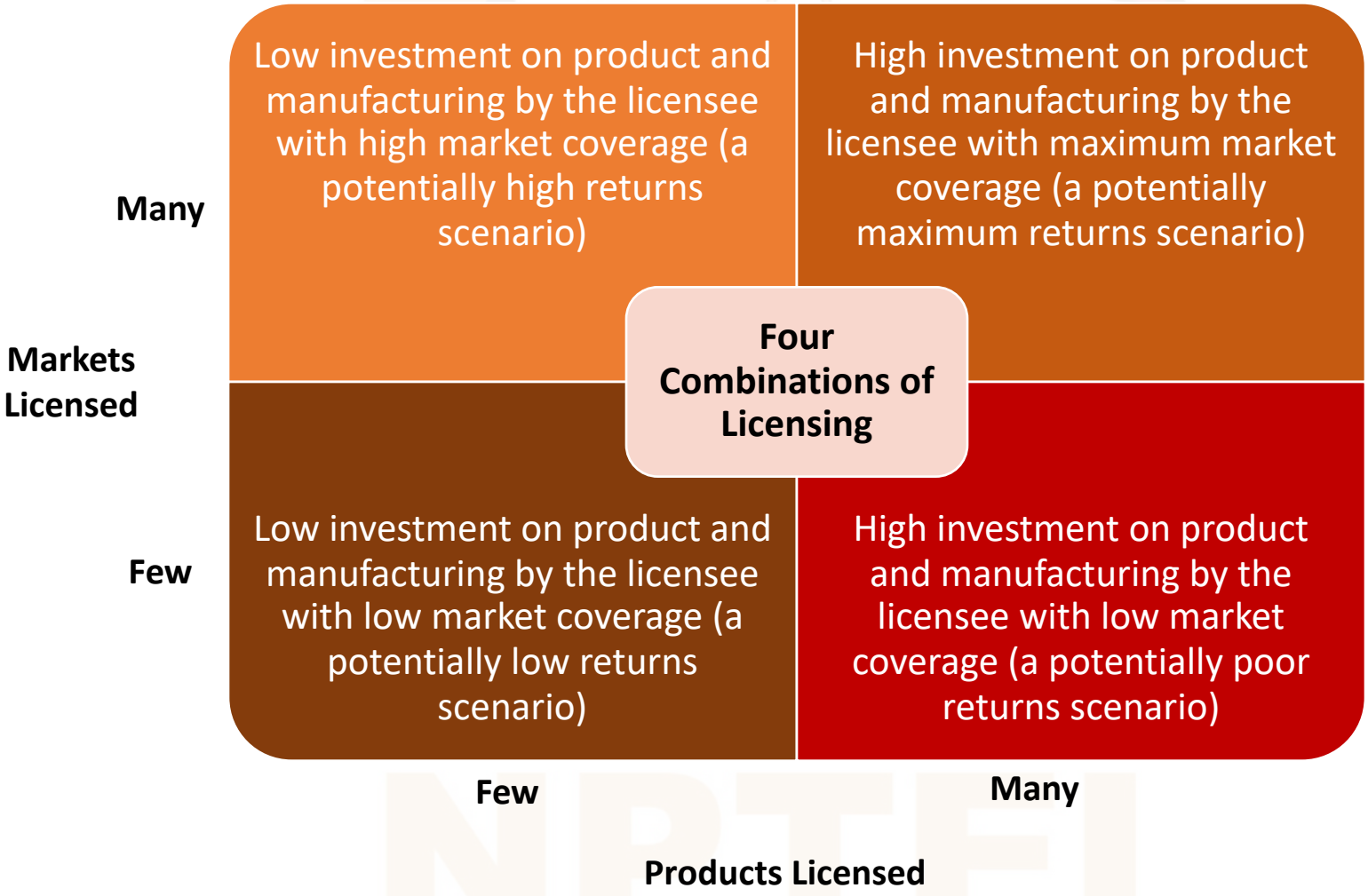
The licensor-licensee relationship is at the core of technical or any other IP based collaboration between firms.




Clarity in licensing depends on the ability of the parties to set their mutual expectations realistically, upfront.

# Options in Collaboration

Growing firms have multiple options which they must choose wisely as they get into rigid agreements.




Each combination has its merits and demerits for the long term as demonstrated by the following slide.

# Pros and Cons of the Four Options

Each of the four options has its own characteristic advantages and disadvantages as demonstrated below.

**Pros and Cons of Licensing Options**

**Markets Licensed**

**Many**

**Few Products-Many Markets**

- Higher sales for the licensee
- Economies of scale for the licensee
- Higher inflow of royalty for the licensor
- Freedom to have additional licensing opportunities with others

**Many Products-Many Markets**

- Highest sales for the licensee
- Economies of scale and scope for the licensee
- Higher inflow of royalty for the licensor
- Rigid lock-in for licensor and licensee, losing out on potentially better opportunities

**Few**

**Few Products-Few Markets**

- Low sales for the licensee
- Focused investment for the licensee
- Limited inflow of royalty for the licensor
- Freedom to extend markets based on performance

**Many Products-Few Markets**

- Low per-product sales for the licensee
- Potential diseconomies for the licensee
- Limited inflow of royalty for the licensor
- Freedom to extend markets based on performance

**Few** **Many**

**Products Licensed**

The scale and mindset of the partners and future potential influence the extent of pros and cons of options.

# Thank you!

NPTEL COURSE

# BUSINESS DEVELOPMENT
## From Start to Scale

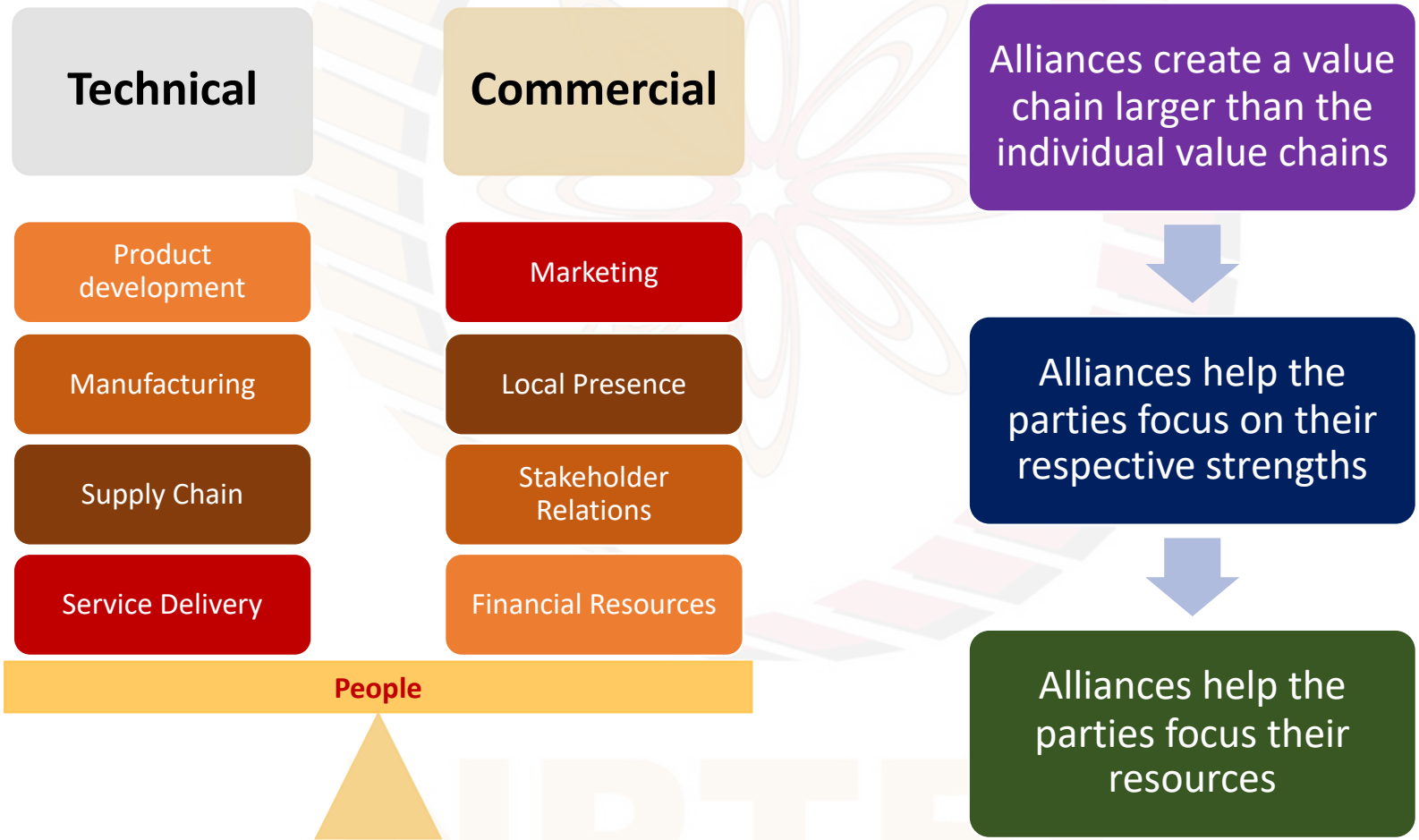
## Week 9: Lectures 41 to 45
## Business Development Structures

## Lecture 42: Strategic Alliances

Prof. C Bhaktavatsala Rao, Ph.D.
Ajit Singhvi Chair Professor
Department of Management Studies
Indian Institute of Technology Madras
and
Founder – LeaderCrest Academy

# Strategic Alliances

Alliances, unlike franchising, are based on the parties bringing together their core strengths for better business.




Alliances have helped, and continue to help, companies launch new businesses beyond their basic strengths.

# Distribution Alliances

Alliances, be it for distribution or supply, are different and specialised collaborative arrangements.

- Distribution alliances have become very popular in the global generic pharmaceutical industry.
- Indian pharma has rapid and frugal product development and competitive manufacturing competencies
- Developed generics companies have strong market presence and marketing competencies in the developed world markets
- Indian pharma and global generics found it beneficial to tie-up with each other to exploit the above capabilities for mutual benefit

Distribution alliances provide product access to the overseas partners and market access to the Indian partners. While the Indian partner is compensated for the product license through product development fees, both parties benefit through profit share payments.

Strategic distribution alliances have helped partners reap long term benefits of integrated value chains.

# Supply Alliances

While supply may be seen as the flip side of distribution, supply alliances do have distinct features.

- Supply alliances are more long-term and exclusive than strategic sourcing arrangements between parties
- Supply alliances are more in the nature of long-term contractual collaborative development of products
- Supply alliances are partnership arrangements whereby product needs are identified and fulfilled in advance
- Supply alliances become relevant when new generations of transformative products are on the anvil

Supply alliances involve mutual commitment between the Original Equipment Manufacturer (OEM) and the Supplier to undertake collaborative planning, technology transfer and product development. The benefits are in terms of lower investments and assured supplies for the OEM and technology support and assured market for the suppliers.

Once supply alliances fulfill the purpose, the arrangements may migrate into traditional strategic sourcing ways

# Non-creation of Legal Entity

Alliances do not create new legal entities as joint ventures or subsidiaries do. However, far deeper than collaborations. Alliances are an intermediate frame of reference for business development.

An alliance does not create a new physical or legal entity. The constituents or partners of an alliance remain distinct and separate.

However, alliances do create informal structures comprising representatives of both partners.

Such virtual informal structures can be passive or active but will last only as long as the alliance lasts.

The alliance partners have no responsibility to each other except as clearly specified in the contract and legally enforceable.

Financial participation, one way or both ways, is not a necessary condition of a strategic alliance. Financial participation may not disturb the basic developmental and operational nature of a strategic alliance. When well-planned and with no hidden agenda, it may only reinforce the alliance.

In certain cases, alliances may progress as joint ventures or even lead to mergers and acquisitions.

# Complementarity

Successful alliances are founded on the principle of complementarity – be it of strategy, assets, skills or people.

A typical alliance between an Indian pharmaceutical firm and a global generics firm is based on the principle that the Indian firm develops products for a fee, licenses them to the global partner, and supplies the products to the global partner at a transfer price for marketing by the global partner. There could be additional expectations of a royalty on sales or a share of profit upon marketing by the global partner.

**This principle can only succeed when…**

…the partners are in different parts of value chain (for example, development, manufacturing or marketing)

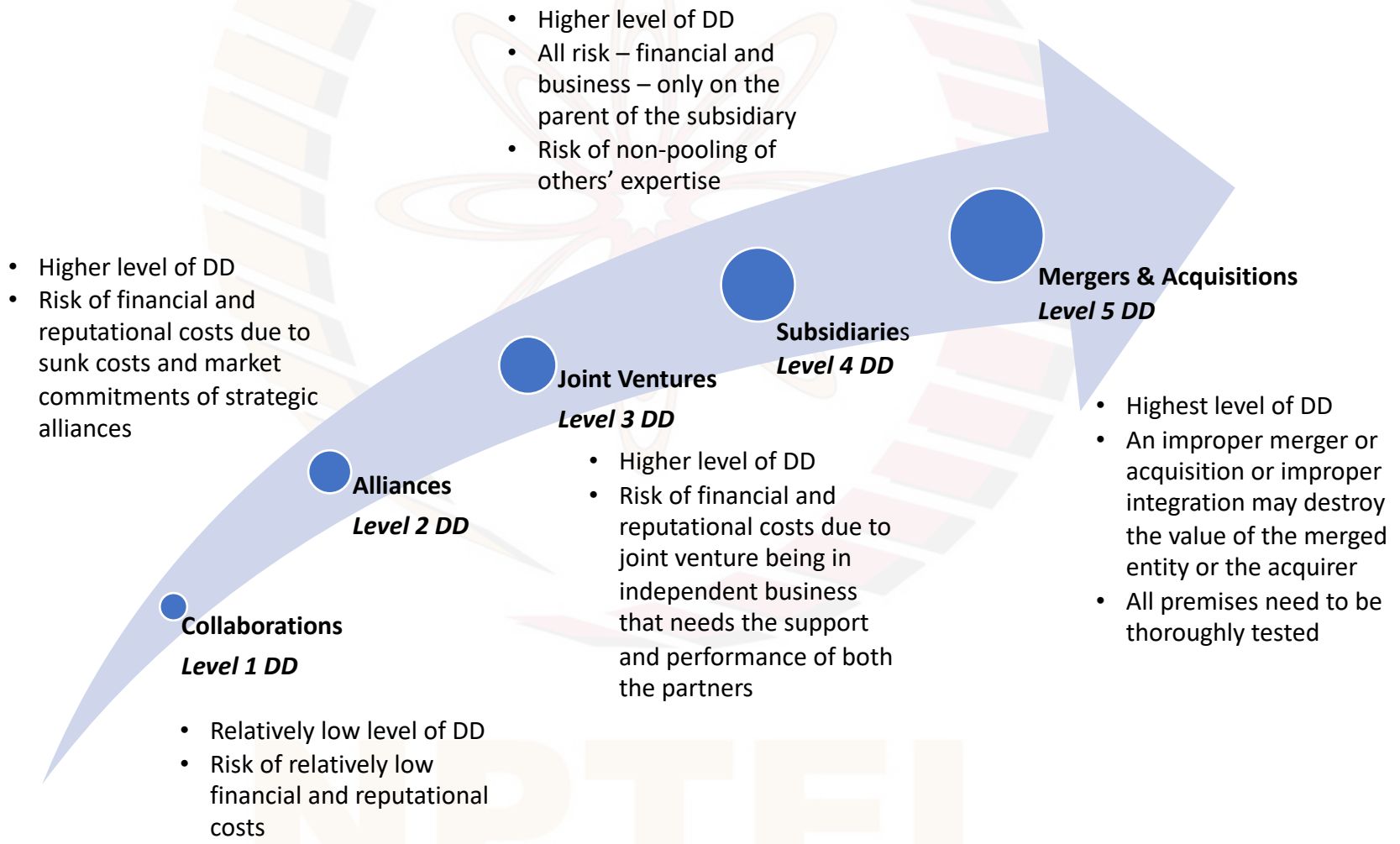
In case the partners operate in an integrated value chain, they are not in the same products and/or markets

In case they operate in some parts of the value chain for historical reasons, they either exit or provide knowledge transfer

Such alliances make the business of the partners grow beyond their respective individual capabilities.

# Due Diligence

Due diligence (DD) is an essential part of any partnership, more so of arrangements with long term association.




If material adverse events are discovered later in the operation of the alliance or M&A, the losses will be huge.

# Types of Alliances

While alliances can be viewed from a functional or value chain point, basis formats of partnership are three.

## Exclusive

- Binding the partners to each other for the covered products and markets

Provides synergy of the partners' complementarity without any overlaps or conflicts. Requires adequate safeguards against non-performance of the partners.

## Co-exclusive

- The partners may operate in the same products and markets with another partner but based on the prior agreement of the existing partners

Provides reasonable synergy while keeping options open to choose an additional partner if performance (product delivery or market share, as the case may be) is not delivered.

## Non-exclusive

- Partners are free to pursue the products and markets in any manner, ensuring however no value destruction for the base partnership

The alliance is simply a starting point to the partners that leaves freedom to explore other options. Usually, unless product needs or market canvas is vast, partners desist non-exclusivity.

In any case, the alliance format allows the partners to pursue multiple partnerships without overlaps.

# Some Pros and Cons

The alliance format allows the partners to test each other's competencies through mutual performance and consider expanded relationship based on such performance delivery.

The exclusive alliance arrangement obviously has better financial possibility (in the event both partners do well) but entails higher risk (in the event one of the partners goes down under).

The non-exclusive arrangement has lower financial benefits (as the same market is shared by more players) but also provides for better de-risking (in the event one of the partners fails to deliver).

Cross-linked alliances are another category of alliances. In this template, two vertically integrated companies with multiple product lines may have alliances for cross-supply of components to have full product lines. As another example, a company may sell some of its assets but could provide feeder materials from its retained assets while getting finished products from the sold-out assets. The foundations of such alliances of mutual convenience are easy to lay but are susceptible to competitive and environmental volatility.

When a small acquisition is backed by multiple strategic alliances in downstream and upstream domains, it would appear to be a financial masterstroke with 'less giving more'. However, any failure in an alliance may lead to undue financial and business stress..

Strategic alliances are transferable upon ownership acquisition but cannot be easily abrogated.

# Four Types of International Alliances

Marketing and distribution alliances in global setting

Toyota-Suzuki and Toyota-Hino alliances

MNC collaborations, alliances and joint ventures in China, India and other Asian countries

Coverage of the Alliance

Go Global

Remain Local

**Complementarity Alliances**

(For an MNC to extend geographic coverage)

**Value Building Alliances**

(For companies to build value through synergy)

**Alliances**

**Traditional Alliances**

(For an MNC to enter emerging markets)

**Security Alliances**

(For an MNC to secure resources which it needs)

Global Pharma companies collaborating with Indian Pharma companies for NCE Development and Manufacturing

Entry into resource rich countries

Adani Australian Mine Venture Vedanta Mining Project in Africa

Utilise Market Opportunity

Utilise Factor Resources

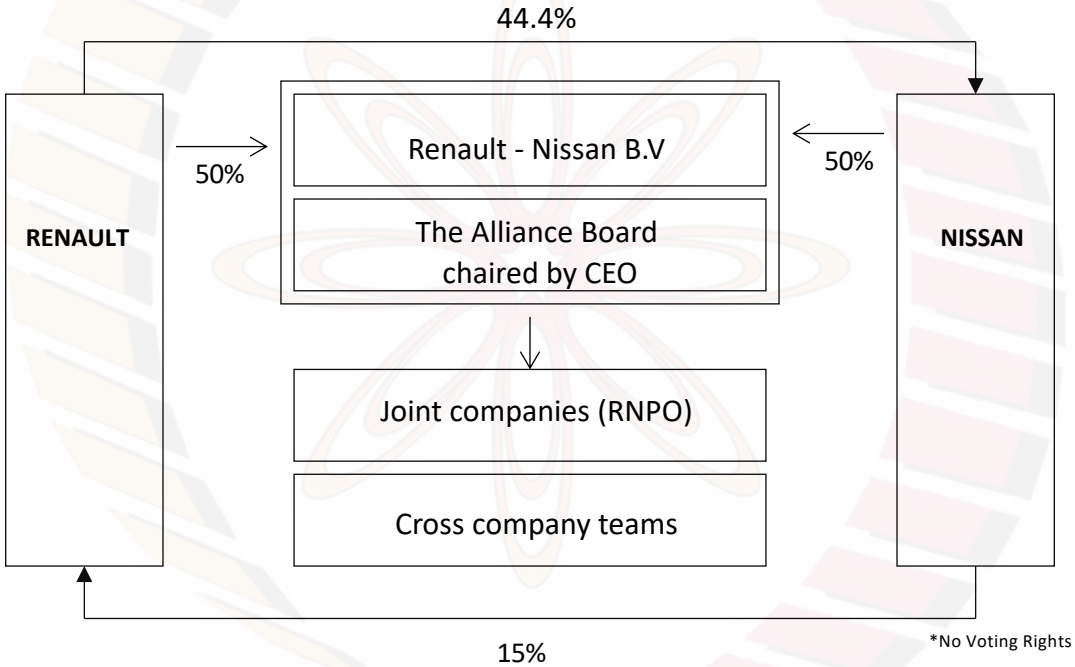
Objective of the Alliance

# Framework for Analysis of Strategic Alliances

| Key Theme | Key Questions | • Key Filters | Partner A | Partner B | Way Forward |
|---|---|---|---|---|---|
| **Structural Analysis of the Industry** | • How big is the market opportunity?<br>• How competitive is the industry? | • Scope<br>• Collaboration potential<br>• Value creating potential | 5/5 | 4/5 | Harmonise expectations |
| **Partner Selection** | • How good are the partner credentials?<br>• Will the partner bring all the credentials to the collaboration? | • Strategic<br>• Competency fit<br>• Organisational fit<br>• Cultural fit | 4/5 | 3/5 | Identify issues and mitigate them |
| **Alliance Framework** | • How do we organize and manage the collaboration?<br>• What are the enablers and barriers? | • Scope and scale<br>• Responsibilities and Accountabilities<br>• Interface<br>• Governance | 4/5 | 4/5 | Negotiate and develop the agreement |
| **Execution Framework** | • How do we convert the intent to execution<br>• How do we monitor the execution? | • Structures<br>• Processes<br>• Metrics | 5/5 | 3/5 | Counsel to reshape the factors of execution |

Ideally, this must be done for the partners separately and then together; it is a collaborative and iterative process in mature organizations.

# Basic Organization of the Renault-Nissan Alliance




Source: <https://www.renault.com/Fr/groupe/l-alliance-renault-nissan/>

Support from the French Government and strong leadership by Alliance Chief Carlos Ghosn as well as Nissan's strong technical and shop floor fundamentals were responsible for the success of the Alliance. However, the French Government's strong preference for merger coupled with Ghosn's top-down leadership style led to a strong pushback by Nissan and Japan in recent years.

# Alliances are Not Fully Optimal, in General: Renault-Nissan Example

| | Went Quite Right | Did Not Go Right | |
|---|---|---|---|
| Return to Profitability<br>Reduce Debt<br>Increase Turnover | Key objectives were clear for both the organisations | Lower shareholding and no voting rights for Nissan | The alliance was weighed against Nissan |
| R&D, Product Strategy, Manufacturing, Supply Chain, Sales, G&A, BD | All functions were covered comprehensively | Pressure to convert the alliance into a merger | Renault's attempts to take extra benefit hardened Nissan's stand |
| USD 5 billion deal provided needed equity and working capital | Renault infused funds as committed | Cultural disparity | French and Japanese cultures were distinct |
| The turnaround skills of Ghosn and Nissan's technical prowess | Carlos Ghosn leadership and Japanese ingenuity | Growing wedge after Nissan recovery | Once Nissan turned around, the need balance flipped over |

**Vehicles, Components, Sourcing, Logistics, Geographies**

# Entry Barriers in the Indian Commercial Vehicle Industry

Indigenous manufacturers benefitted from frugal engineering and customer loyalty

Extensive Sales and Service Infrastructure

Customer Loyalty

Investment Intensity of New Projects

Technology Intensity of New Projects

Low Cost Structure

Establishing Indigenous Base

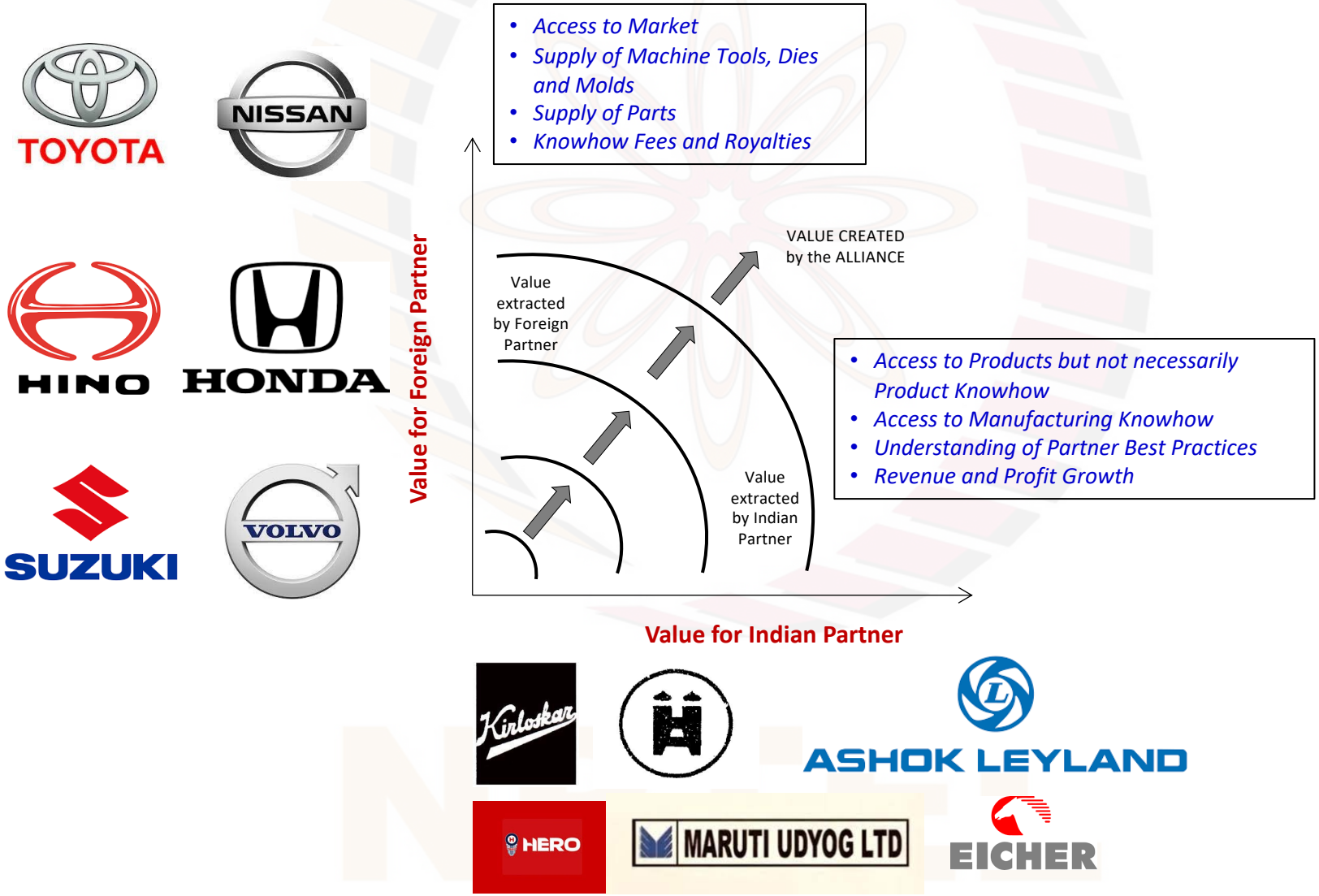
Licensing Regulations

Previous JVs and M&As have experienced, to their detriment, entry barriers being strengthened by indigenous players

Future JVs and M&As have their task cut out to overcome the enhanced entry barriers to be able to succeed

New entrants based on foreign technologies faced high entry barriers on all the above seven components

# Value Creation and Extraction in Alliances






Concept from Philippe Lasserre, Global Strategic Management 3E, Palgrave Macmillan, 2012 with examples from the Instructor's experience

# Fit Analysis and Strategic Alliances

Intending partners must analyse the fit of each other objectively based on exchange of information

**Strategic Fit**

- Complementary vision and mission
- Non-overlapping products and markets

**Competency Fit**

- Business and functional strengths
- Resources that can be provided

**Organisational Fit**

- Organization structure and talent pool
- Operational and business processes

**Cultural Fit**

- Leadership and governance styles
- Accountability, responsibility, empowerment

Renault Nissan Alliance illustrates – cultural and organizational fit issues were subservient to strategic and capability factors in the turnaround and growth phases but came to the fore later.

# Four Approaches

Typically, partners exhibit four different types of approaches while entering into strategic alliances

**Entrepreneurial Approach**

- Place bets with risk-reward profiles
- Create and grow businesses

**Maximization Approach**

- Leverage the competencies of the partner
- Grow business utilizing partner strengths

**Optimization Approach**

- Seek economies of scale and scope
- Seek business and operational synergies

**Exploratory Approach**

- Use alliances to understand the partners
- Focus on the short-term for 'go-no go'

Depending on the consonance and dissonance between the partner approaches, the value generated out of partnerships could vary substantially.

# Four Approaches

| | Entrepreneurial Approach | Maximization Approach | Optimization Approach | Exploratory Approach |
|---|---|---|---|---|
| **Entrepreneurial Approach** | Long-term fit | Likely problematic fit | Likely problematic fit | Likely fit |
| **Maximization Approach** | Likely problematic fit | Short-term fit | Likely short-term fit | Likely problematic fit |
| **Optimization Approach** | Likely problematic fit | Likely short-term fit | Long-term fit | Likely short-term fit |
| **Exploratory Approach** | Potential fit | Likely problematic fit | Likely short-term fit | Short-term fit |

The M&As between Roche and Genentech (E-E), Renault and Nissan (M-M), GSK and Novartis (O-o), and GM and Toyota (Ex-Ex) were examples of the four types of fit against strategic agendas.

# Strategic Alliance

Not all companies would have the wherewithal to straddle the entire value chain, from design in laboratory through manufacturing in the shop floor to delivery in the marketplace. Strategic alliances which bring together complementary partial value chains into one integrated value chain could be flexible and powerful.

**Indian Strengths**

- R&D/Product Development
- Manufacturing

**Global MNC Strengths**

- Marketing Reach
- Distribution Depth

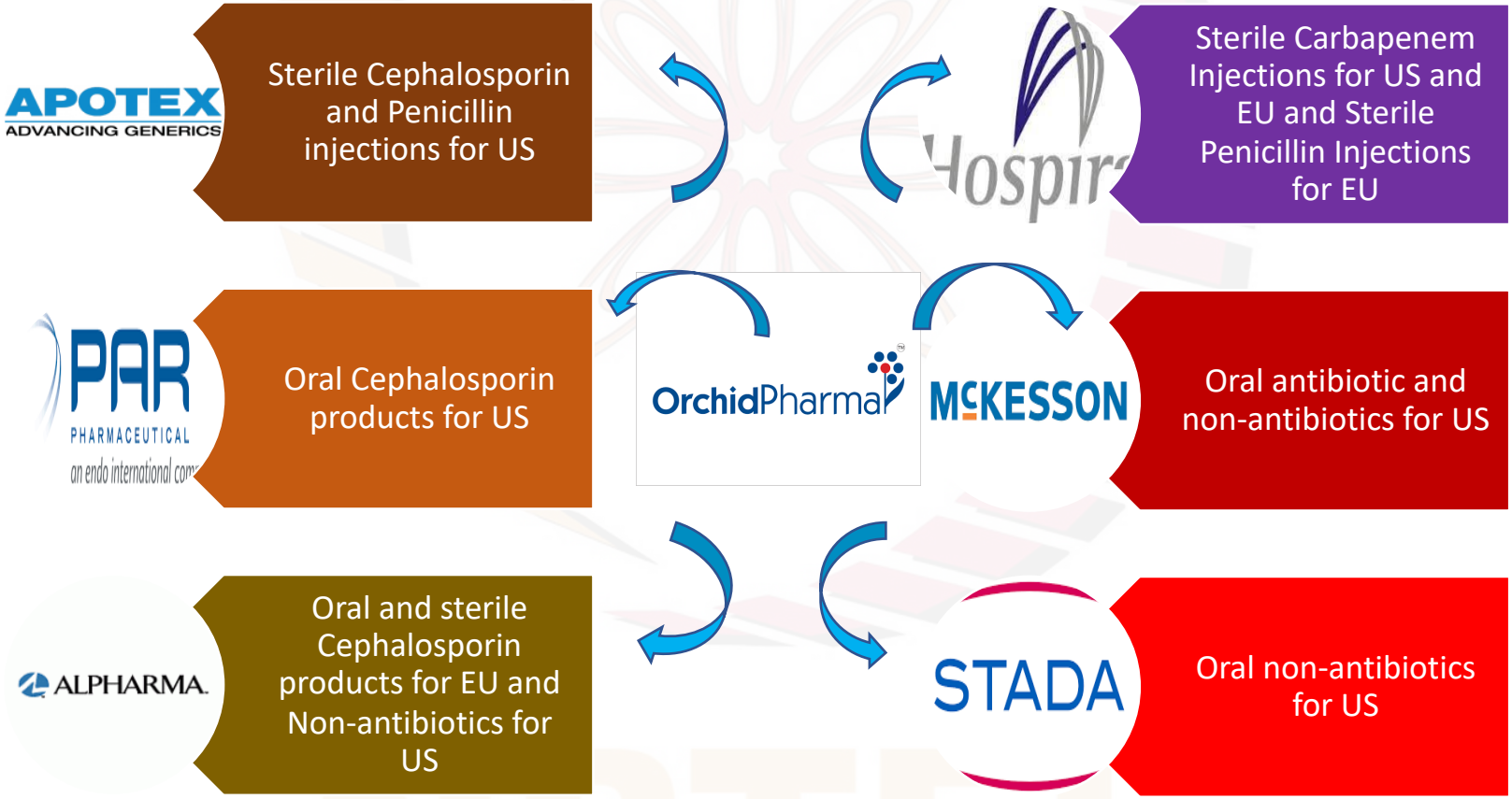
**Resultant**

- Leveraging of Competencies
- Sharing of costs and profits

A typical strategic alliance usually provides a timeframe of operation up to 10 years, with possibilities to terminate or renew the alliance.

# Strategic Alliances: Focus and Diversity

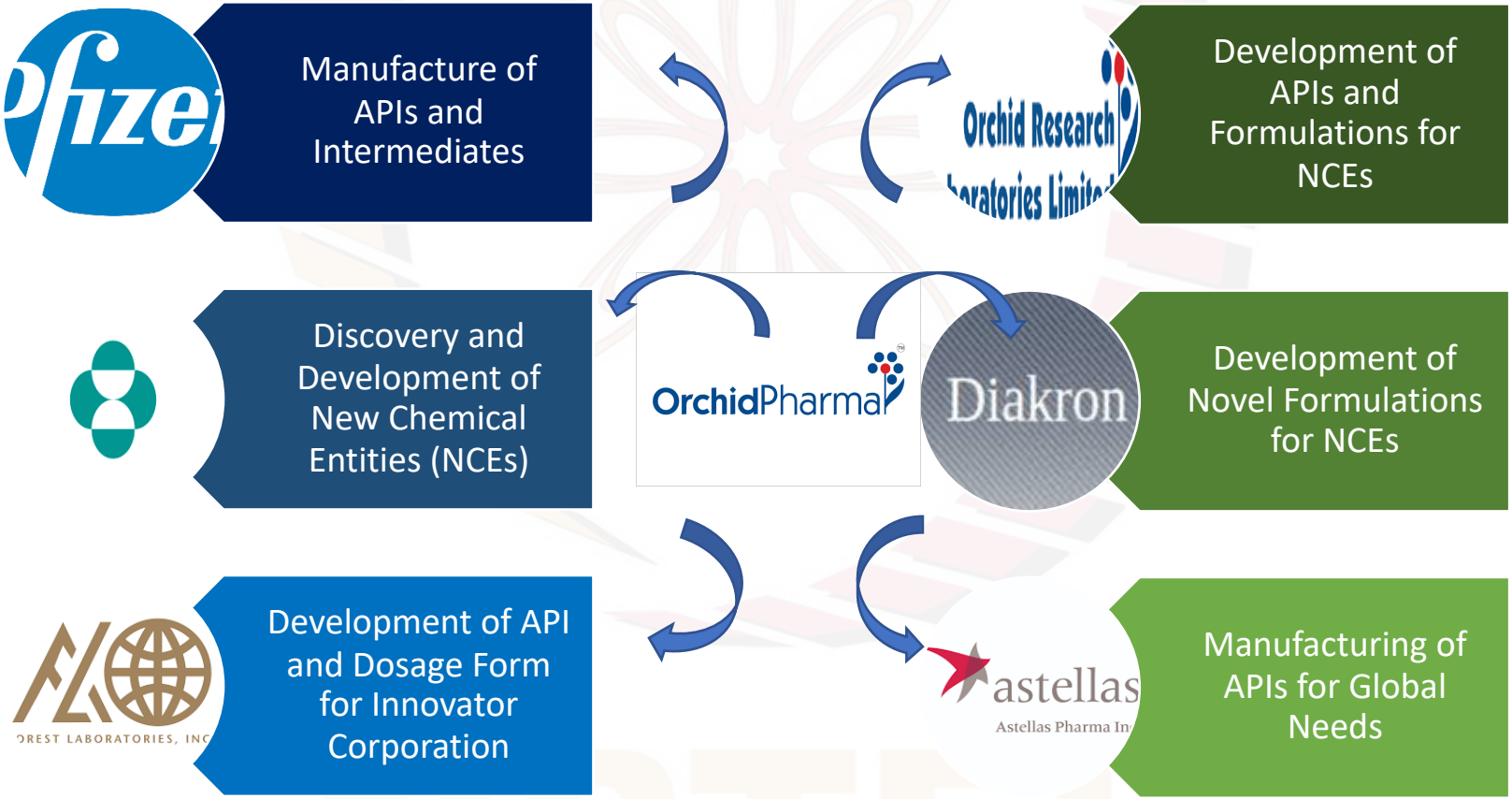
A company could have multiple strategic alliances thus achieving both focus and diversity. I could structure several strategic alliances for Orchid Pharma with global MNCs for different product groups.




As a result of the industry-leading strategic alliance strategy, Orchid could get millions of dollars in upfront development and licensing fees from the strategic partners, and continuing profit share for years.

# Strategic Alliances: CDMO Model

A company can implement a Contract Development and Manufacturing Organization (CDMO) Model through the strategic alliance route. I could structure several strategic alliances for Orchid with Big Pharma (Innovator pharmaceutical MNCs). It represented monetization of R&D and manufacturing capacity.




Partnership through the entire drug discovery and development as well as commercialization value chain of an innovator pharmaceutical corporation is a great way to build low risk-high reward pathway.

# Thank you!

NPTEL COURSE

# BUSINESS DEVELOPMENT
## From Start to Scale

## Week 9: Lectures 41 to 45
## Business Development Structures

## Lecture 43: Joint Ventures

Prof. C Bhaktavatsala Rao, Ph.D.
Ajit Singhvi Chair Professor
Department of Management Studies
Indian Institute of Technology Madras
and
Founder – LeaderCrest Academy

# Joint Ventures

Joint ventures are more involved forms of collaboration which create new legal entities with specific intentions.

India's automobile industry has experienced exceptional enhancements in competencies and amazing growth in business scale and scope on the basis of joint ventures.

Joint ventures with well-structured partnership arrangements, shareholding arrangements, and aligned leadership provide to their partners the best of absorbing new technologies and expanding into new markets.

Usually, the partners bring their respective capabilities and competencies as well as financial resources to the joint venture. Once set up with adequate capitalisation (equity and debt), the joint venture grows with partner support.

The alliance partners have no responsibility to each other except as clearly specified in the contract and legally enforceable.

There are different types of joint ventures depending on the policies and market potential of the host country. For example, if a joint venture is established in India by an Indian partner and a foreign partner, the joint venture can have a minority (less than 50 percent in equity), majority (higher than 50 percent in equity) or equal participation by the Indian partner (exactly 50 percent). The percentages will get suitably adjusted if more than one partner exists and/or if public participation exists. However, typically, partnerships between Indian and foreign partners tend to be exclusive to each other, and multiple partnerships between Indian and foreign partners are not common in India.

In certain jurisdictions such as China, joint venture agreements are drawn up with specific lifespan.

# Joint Venture Methodologies

There are several ways in which joint ventures can be constituted. The shareholders JV agreement is the basis.

- Partners can bring in cash and other assets such as land and buildings, technology, designs and other intellectual property, and machine tools, equipment, dies and moulds, duly valued as their contributions.
- The shareholders and joint venture agreement would cover how the joint venture would be constituted, governed, and managed.
- The JV agreement lays out the business purpose, short and long term plans, overall business strategy, the capital structure, and the boundaries of independence for the JV.
- The shareholders' agreement lays out the rights and responsibilities of the JV partners as shareholders and how they would conduct themselves. Normally, a JV does not act to limit the freedoms of the partners.

The shareholders agreement would cover how the board of directors would be constituted, eligibility of each partner to nominate the directors, the roles and responsibilities of the directors, who has the rights to nominate the key managerial personnel (managing director and chief financial officer, for example), the affirmative voting rights of the partners expressed through the directors, the products and the territories covered, and so on.

Equally importantly, the joint venture and shareholder agreements specify conflict resolution provisions as well as conditions and terms under which the partners may exit.

# Joint Ventures as Ecosystems

Joint ventures operate as delicate ecosystems that draw their sustenance from the parents but yet are independent.

- Successful joint ventures must be precise in definition of various terms and conditions but also be flexible to provide for unanticipated eventualities.
- They also must provide for renewals based on mutual promises and performance while remaining protected against opportunistic or unreasonable termination.
- Despite many such provisions, eventually one partner (usually the partner who is more endowed technologically and financially) buys out the other partner.
- Recognising the inadequacies of joint ventures and improvement in the ease of business, there is a greater resort to wholly owned enterprises in recent years, mostly in private ownership.

In the 1980s, the Indian automobile industry has seen joint ventures such as DCM-Toyota and Alwyn-Nissan fold up. In more rent years, the Indian automobile industry epitomised multiple models of continuing joint ventures (Toyota Kirloskar), joint venture splits (Hero Honda), and wholly owned enterprises (Hyundai Motor India), each of which has been successful in its own right.

The partner due diligence that must precede the joint venture has a crucial role in the JV process.

# Typical Items in a Joint Venture Agreement

| Scope | Contributions | Roles |
|---|---|---|
| • Products<br>• Markets<br>• Capacities | • Finance<br>• Technology<br>• Assets | • Development<br>• Manufacturing<br>• Marketing |

| Management | Protection | Governance |
|---|---|---|
| • Structure<br>• Process<br>• Talent | • Information<br>• IP<br>• Interests | • Covenants<br>• Renewal<br>• Termination |

Assets include: Land, Facilities, Plant & Machinery, Dies & Tools, Intellectual Property, Brands, Goodwill, Channels etc.,

**Successful Joint Venture Agreements**:

- Balance precision with flexibility
- Provide stage-gated renewals
- Place a premium on mutual performance
- Protect against unreasonable termination
- Lay down equitable principles of ownership transfer

# Joint Venture Longevity

Joint ventures offer a more robust platform for sustainability and growth because of the lock-in relationship.

When a joint venture also is a publicly held enterprise, there also tends to be greater public accountability and value creation.

For the joint venture to fulfil its potential, the joint venture partners must have a shared, aligned, strategic vision.

The period of mutual exploration, diligence, and negotiation that precedes the establishment of a joint venture must be utilised to understand each other

This must include mutual strengths and weaknesses, expectations, resource and other constraints, human resources, cultures, and business logic of each other.

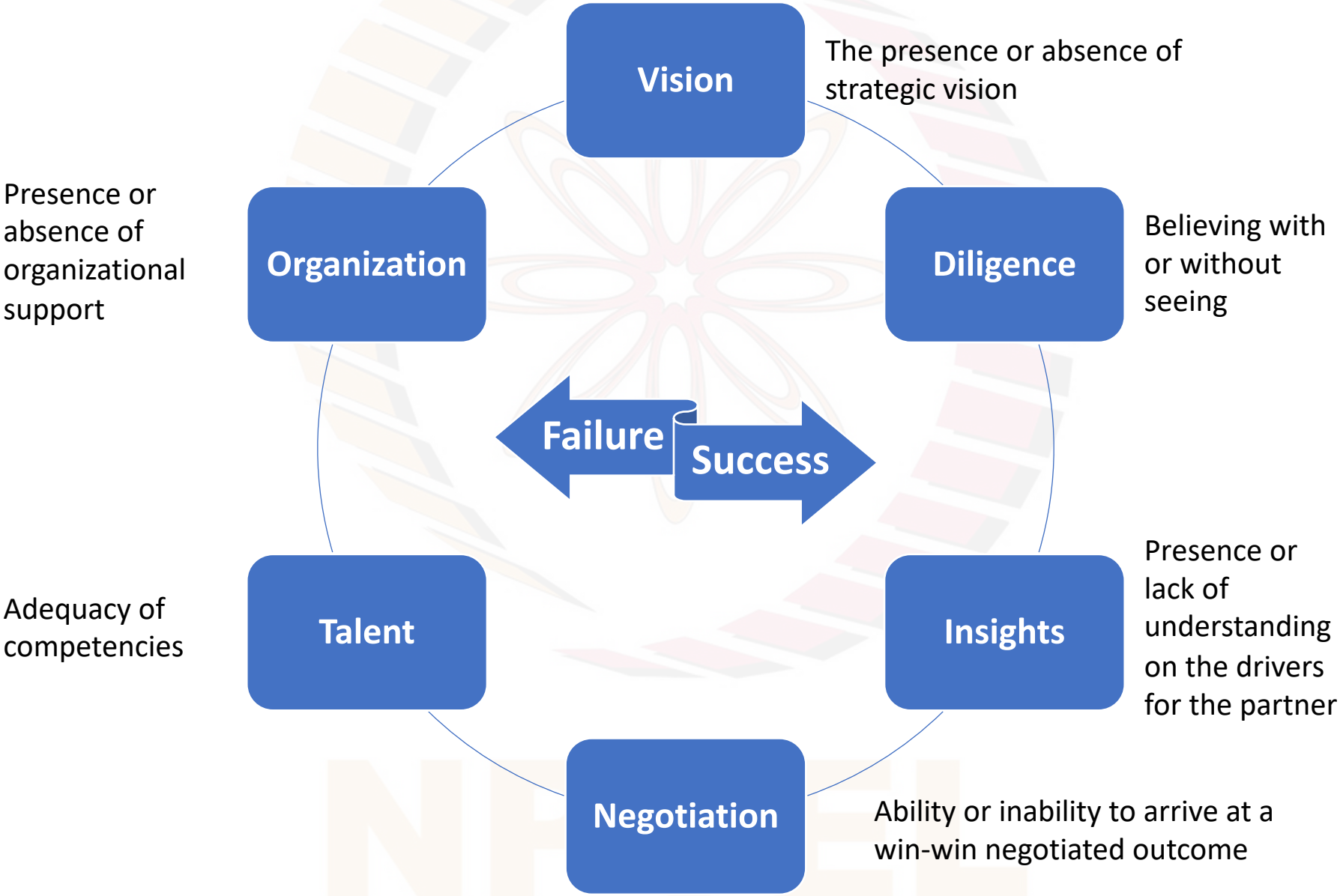
A deliberative rather than an impulsive and hasty approach to joint venture finalisation is called for.

Once the foundations are laid strong, the leaders of the joint venture partners as well as the leader of the joint venture becomes instrumental in managing the joint venture harmoniously.

Ability to share resources in an inclusive manner, take meaningful risks for growth, and be open and transparent in communication are key leadership attributes for joint venture success.

When the above are taken care of, a joint venture can be as robust and long-lasting as the partners.

# Six Main Causes of Successes or Failures in JVs



# The Positive JV Journey

A joint venture will have a positive journey when the business partners are complementary to each other and their aspirations as well as resources are well matched

**Acquaint**

Partners get to know each other well in an open and transparent manner

This stage needs enabling leaders from both the sides

**Establish**

Partners create the JV structure with key people from the respective sides, and additional open recruitments

This requires both sharing executive responsibilities equitably

**Harmonize**

The resources, practices and know-how of both the partners and the JV are harmonized to create the JV's own best practice platform

Needs objectivity in selecting and embedding the best practices

**Optimize**

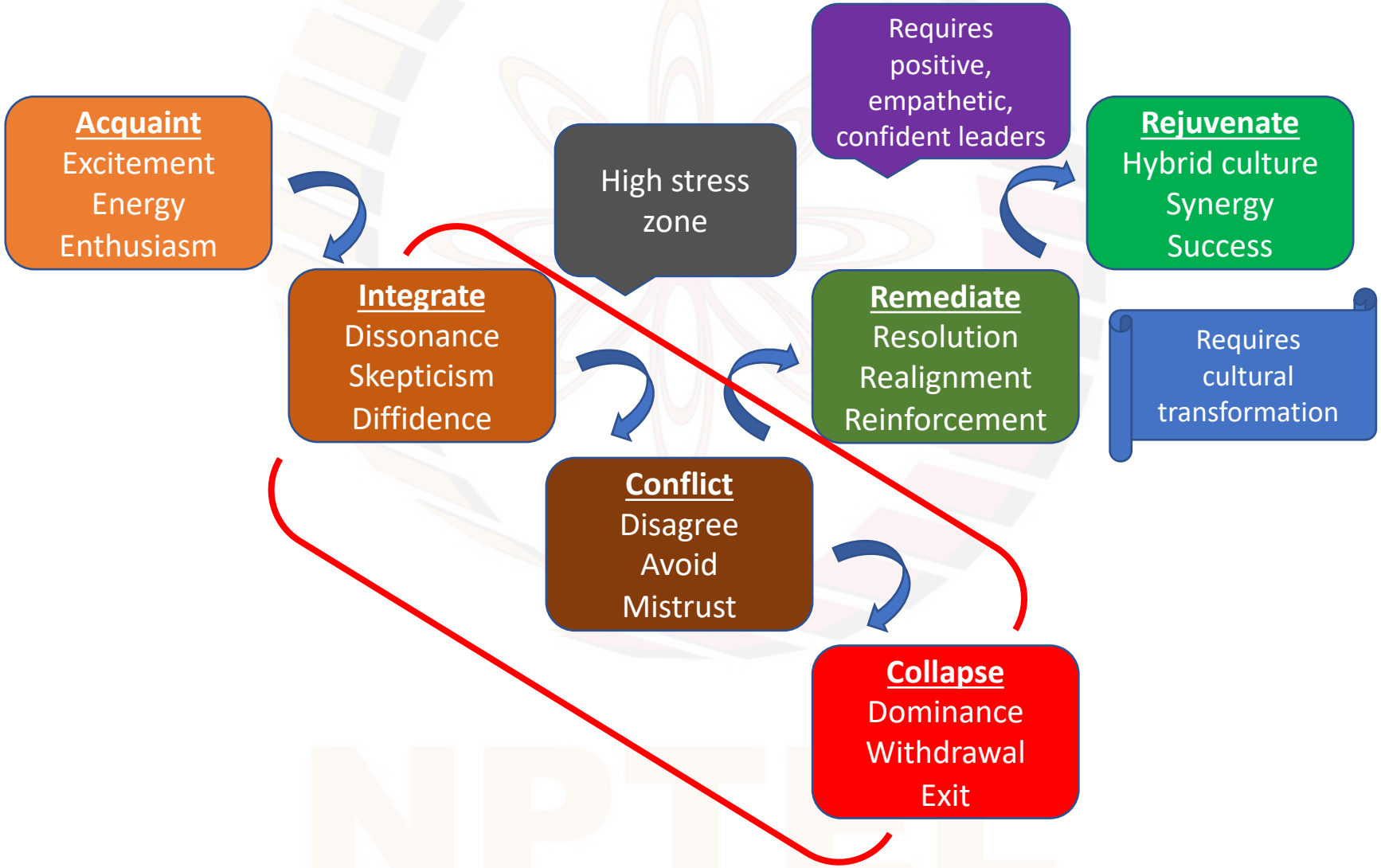
The JV grows autonomously with minimal interventions and with occasional support (as required) from both the partners

Requires balanced governance, enabling growth with shared values

When the above are taken care of, a joint venture can be as robust and long-lasting as the partners.

# The Negative JV Journey

Joint ventures undergo tumultuous and often stressful journeys if disablers overpower enablers.




Reinvention requires the partners to introspect, listen to each other, and accept the appropriate ways of alliance development and management. If not done timely and resolutely, exit becomes inevitable.

# Partner Options for Market Entry Joint Ventures

| SN | Partner | Feature |
|---|---|---|
| 1 | Industry Partner | Brings full range of capabilities across value chain, apart from business, reputation, goodwill and country knowledge |
| 2 | Non-Industry Player | Brings business, reputation and country knowledge, with an aspiration into a new business |
| 3 | Industry Vendor | Provides assured supplies; comes with general industry knowledge |
| 4 | Non-industry Vendor | Provides supply domain and country knowledge but little else |
| 5 | Industry Channel | Provides customer and market access as well as insights |
| 6 | Non-industry Channel | Provides general country-specific channel knowledge |
| 7 | Investor | Provides finance but looks constantly for return on investment |
| 8 | Government | Provides local standing and authority but emphasizes employment |

An industry-specific partner provides readily usable advantages but could emerge as independent or even as a competitor later

A non-industry-specific partner may not bring direct operational advantage but may be compliant with the guidance by the dominant industry-knowledgeable partner

Many of the individual propositions listed above, though conceptually well-merited, fail to realize full potential due to misalignments on mutual expectations. Hero Honda has been an exceptionally successful case of a combination of a majority of the points mentioned here.

# The Global Alliance and M&A Contract Development Process

• Global strategic management requires leadership and managerial bandwidth with capabilities in negotiation and contract development

• Prospector, Evaluator, Negotiator, Finalizer, and Integrator need to be different persona to ensure objectivity, and provide checks and balances

• Legal advisors and investment bankers add strength and objectivity but cannot substitute for the firm's business acumen

• Internal teams analyse and come up with prospect ideas
• Investment bankers come up with suggestions
•CEO and Board take keen interest

**Integration**
- Final payments
- Asset transfers
- Payee transfers
- People transfers

**Execution**
- Business agreements
- Payments

**Negotiation**
- Deal structuring
- Financial terms
- Terms and conditions
- Covenants
- Reps and warranties

**Diligence**
- Business
- Finance
- Legal
- Operations and Quality
- Governance etc.

**Prospecting**
- Identifying target business and target company
- Initial contact
- Idea framework for tie-ups

# The Grid of Alliance/M&A Competitive Strength

**'Best + Best' may not emerge to be 'Better than the Best' or even 'Equal to the Best'. Multiple factors operate to shape the effectiveness.**

| Partner A | Partner B: Laggard | Partner B: Challenger | Partner B: Leader |
|---|---|---|---|
| Leader | ? | ? | Best Fit |
| Challenger | ? | Both Could Become Better | ? |
| Laggard | Worst Fit | ? | ? |

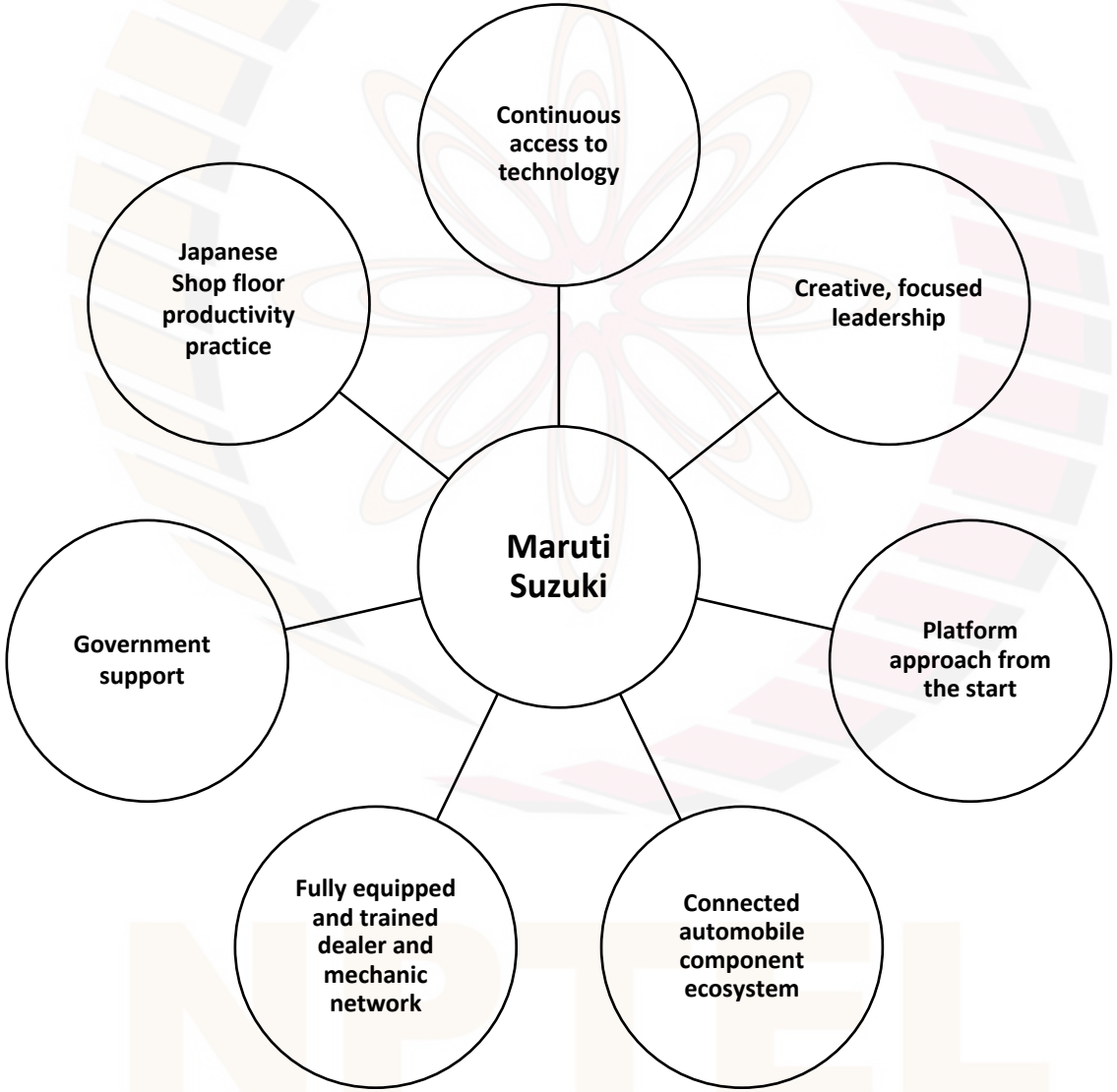
# Curious Outcomes of Partnerships in Indian Automobile Industry

| Indian Business Partner | Small | Medium | Large |
|---|---|---|---|
| **Industry Expert** | **M&M Navistar**<br>Highly Unsuccessful | **Bajaj Auto Kawasaki**<br>*Relatively Unsuccessful* | **Ashok Leyland Nissan**<br>*Highly Unsuccessful*<br><br>**M&M Renault**<br>Highly Unsuccessful |
| **Industry Familiar** | **Swaraj Mazda**<br>*Marginally Successful* | **Eicher Mitsubishi**<br>*Moderately Successful* | **Hero Honda**<br>*Highly Successful*<br><br>**Escorts Yamaha**<br>*Relatively Unsuccessful* |
| **Industry Naive** | **Maruti Suzuki**<br>*Highly Successful* | **Lohia Piaggio**<br>Highly Unsuccessful | **DCM Toyota**<br>*Highly Unsuccessful*<br><br>**Toyota Kirloskar**<br>*Highly Successful* |

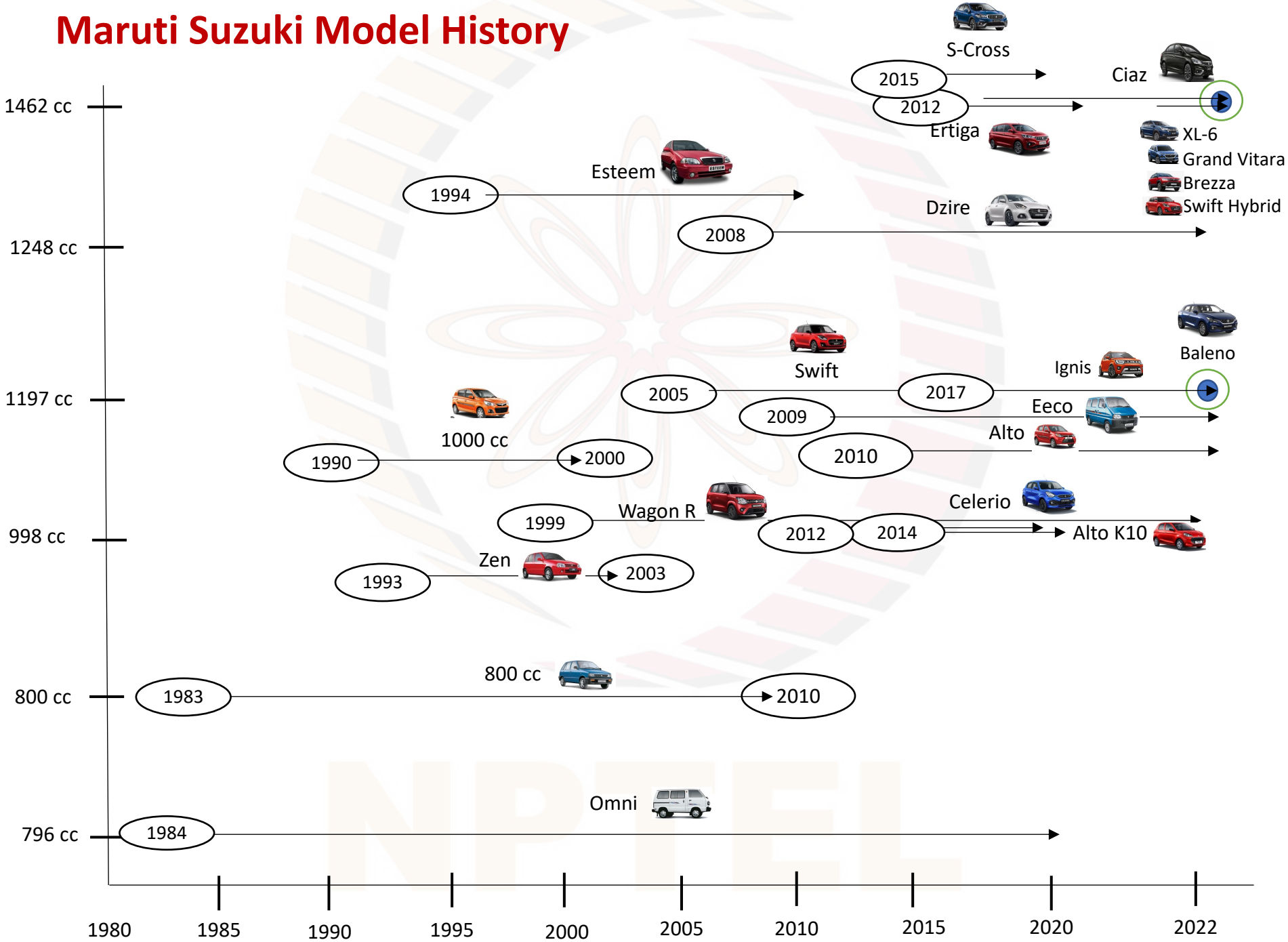
**Global Technology Partner**

**'Local Expertise + Global Leadership' may not automatically assure success. Some may even end up as partnership failures. Partnership successes and failures is a major area that requires extensive research.**

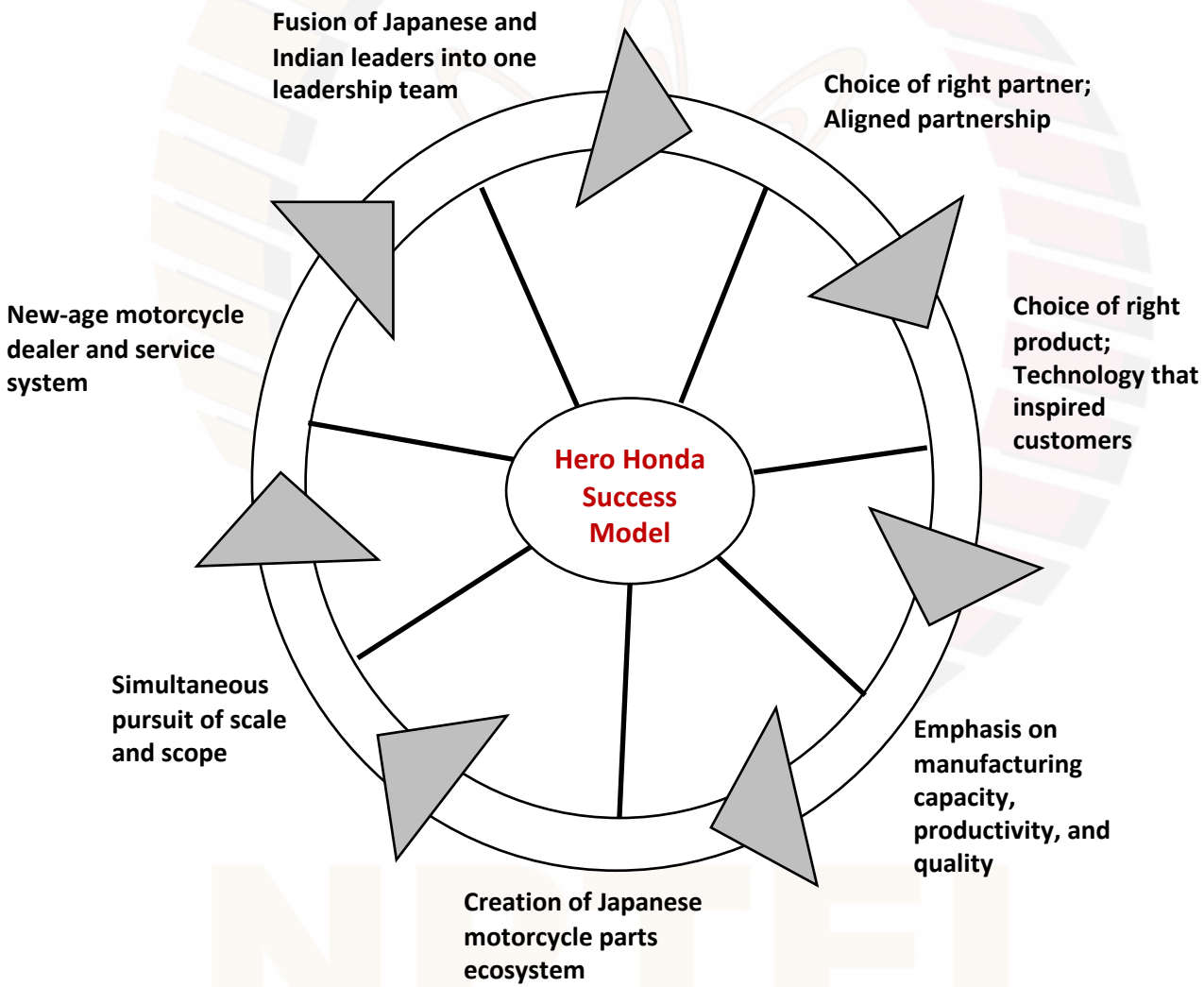
# Maruti Suzuki Success Model



# Maruti Suzuki Model History



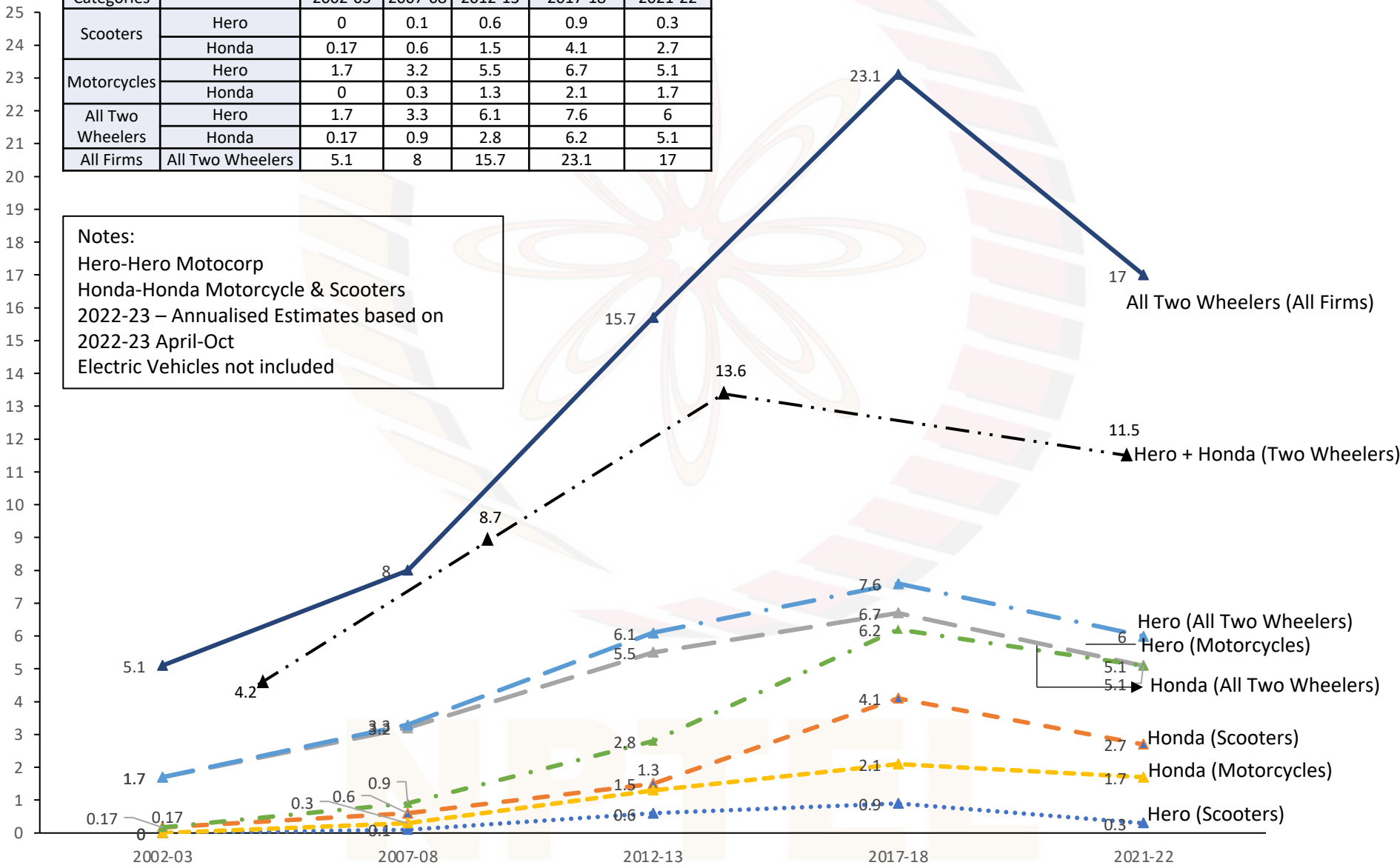
# Hero Honda Model of Market Success



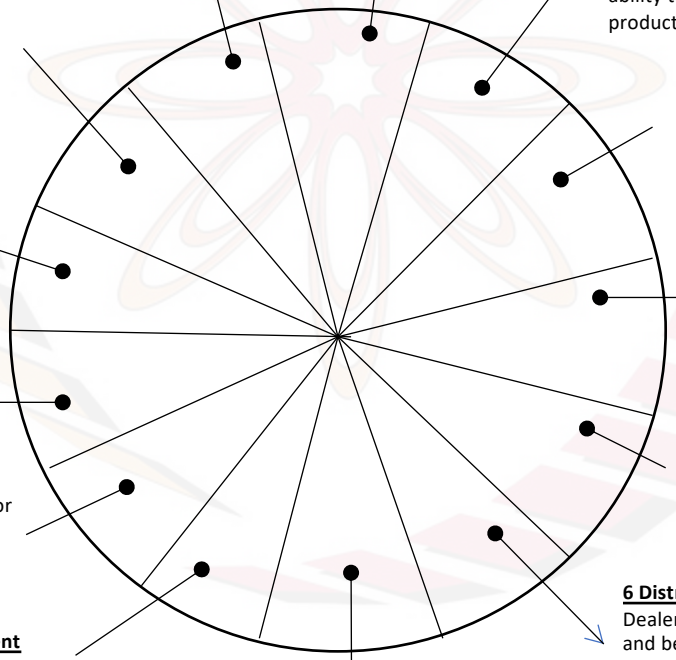
# Hero and Honda Divided But Win Together

| | | Output (in Million Vehicles) | | | | |
|---|---|---|---|---|---|---|
| Categories | | 2002-03 | 2007-08 | 2012-13 | 2017-18 | 2021-22 |
| Scooters | Hero | 0 | 0.1 | 0.6 | 0.9 | 0.3 |
| | Honda | 0.17 | 0.6 | 1.5 | 4.1 | 2.7 |
| Motorcycles | Hero | 1.7 | 3.2 | 5.5 | 6.7 | 5.1 |
| | Honda | 0 | 0.3 | 1.3 | 2.1 | 1.7 |
| All Two Wheelers | Hero | 1.7 | 3.3 | 6.1 | 7.6 | 6 |
| | Honda | 0.17 | 0.9 | 2.8 | 6.2 | 5.1 |
| All Firms | All Two Wheelers | 5.1 | 8 | 15.7 | 23.1 | 17 |

Notes:
Hero-Hero Motocorp
Honda-Honda Motorcycle & Scooters
2022-23 – Annualised Estimates based on 2022-23 April-Oct
Electric Vehicles not included



# Entry Barriers Vary for Global and Indian Auto Majors



**(i) Cost/Price Disadvantage**
New products by new manufacturers face serious cost/price disadvantage

**1 Economies of Scale**
Established players enjoy scale economies vis-a-vis new players

**(ii) Manufacturer Fragmentation**
Differentiated products will Impose more stress on diseconomies of scale

**2 Product Differentiation**
Global players have better ability to bring differentiated products to the market

**(iii) Capital Repatriation**
It may not be easy to repatriate capital, distribute high dividends or pay royalty

**3 Capital Requirements**
Global auto majors can pump in high investments

**(iv)Switching Costs**
Overcoming switching costs may require deep discounting

**4 Switching Costs:**
New products cannot easily win customer acceptance

**(v) Vendor Development**
At times creating a new vendor base becomes imperative, despite high costs

**5 Vendor base:**
Vendors tend to provide preferential support to long-time customers

**(vi) Distributor Development**
At times creating a new dealer network becomes imperative, despite high costs

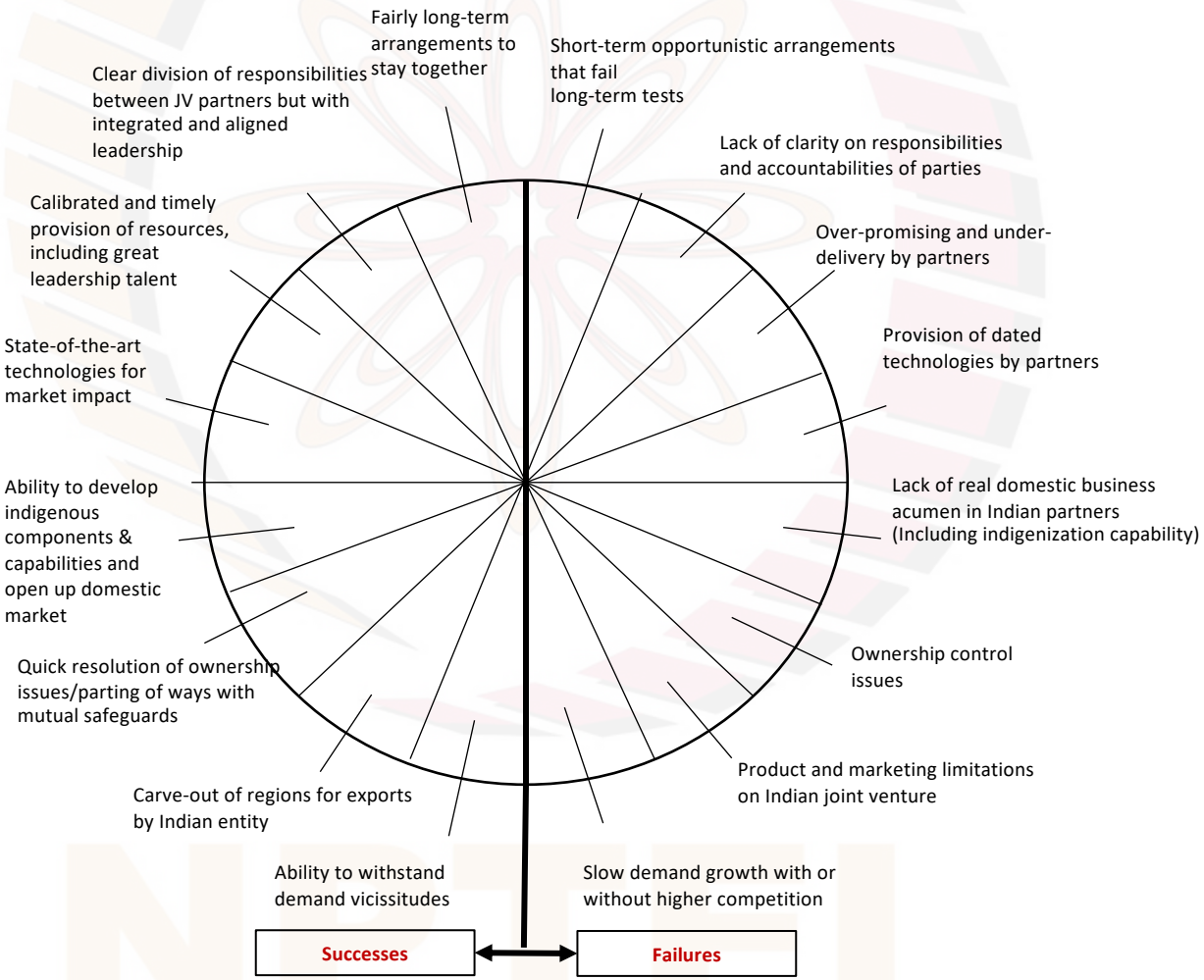
**6 Distributor Base:**
Dealers tend to be loyal to, and benefit from the learning curve of, known customers

**Cost/Price Implications** ↔ **Entry Barriers**

**Government Policy:**
Government policies on licensing, foreign direct investments, capital controls, domestic capital formation, technology inputs etc., could vary entry barriers, and influence the costs and prices of overcoming the barriers

# Joint Ventures and Strategic Alliances: Multiple Options

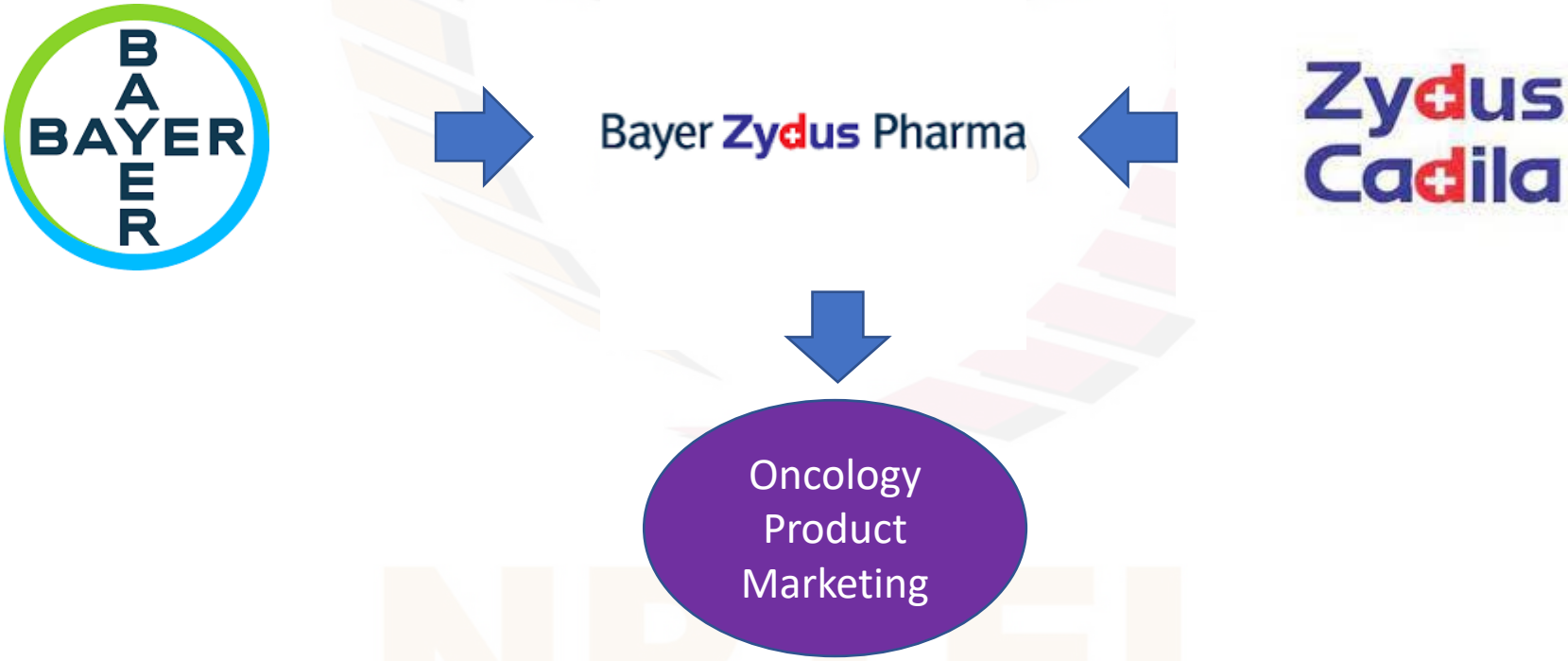
# Successes and Failures of Joint Ventures and Strategic Alliances



# Joint Venture: Marketing Model

When strategic marketing is a shared passion for both the companies, the companies would set up a joint venture with equity partnership to establish marketing as a standalone business.

Bayer AG entered into a 50:50 joint venture, Bayer Zydus Pharma, to distribute pharmaceuticals in India with Cadila Healthcare Ltd.

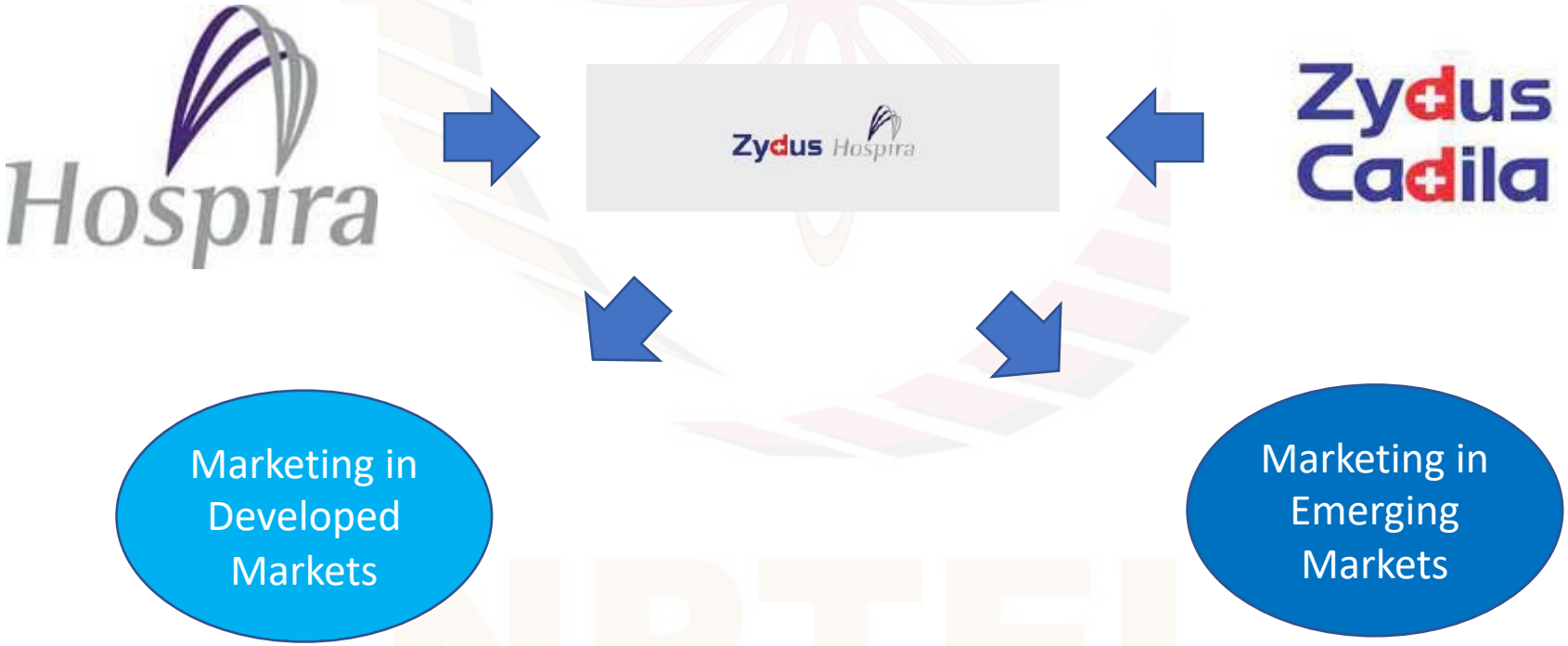



Joint ventures for strategic marketing can be resorted to only when companies are willing to lock into the ventures for an indefinite period of time with a specific agenda shared by both the companies.

# Joint Venture: Manufacturing Model

When strategic manufacturing is a shared passion for both the companies, the companies would set up a joint venture with equity partnership to establish manufacturing as a standalone business.

Hospira entered into a 50:50 joint venture, Zydus Hospira Pvt Ltd, to manufacture oncology products which are to be marketed in select assigned markets by the partners




Joint ventures for strategic manufacturing will be beneficial when the companies are willing to lock into the ventures with a specific segmented marketing agenda agreed to by both the companies to absorb the output.

# Thank you!

NPTEL COURSE

# BUSINESS DEVELOPMENT
## From Start to Scale

## Week 9: Lectures 41 to 45
## Business Development Structures

## Lecture 44: Subsidiaries

Prof. C Bhaktavatsala Rao, Ph.D.
Ajit Singhvi Chair Professor
Department of Management Studies
Indian Institute of Technology Madras
and
Founder – LeaderCrest Academy

# Subsidiary Company

A subsidiary company is a company owned by another company called the parent company or holding company.

A subsidiary company is usually constituted to carry on a business that is somewhat different from that of the parent company

Subsidiaries are separate, distinct legal entities with their own capital structures, assets and liabilities and regulatory compliance

Subsidiaries can act independent of the parents and have rights and obligations independent of the parent companies.

It is possible for a company to spin off one or more of its businesses as a subsidiary or subsidiaries – to start with as wholly owned.

Ownership of a subsidiary is usually achieved by owning a majority of its shares. This gives the parent the necessary votes to elect their nominees as directors of the subsidiary, and so exercise control. This gives rise to the common presumption that 50% plus one share is enough to create a subsidiary. There are, however, other ways by which control can come about. The exact rules both as to what control is needed, and how it is achieved, can be complex. A subsidiary may itself have subsidiaries, and these, in turn, may have subsidiaries of their own. A parent and all its subsidiaries together are called a corporate, although this term can also apply to cooperating companies and their subsidiaries with varying degrees of shared ownership.

Subsidiary formation gives specialization and focus to business and lays out an independent path.

# Tata Group

**Founded by Jamsetji Tata in 1868, the Tata group is a global enterprise, headquartered in India, comprising 30 companies across ten verticals.**

Tata Sons is the principal investment holding company and promoter of Tata companies. Sixty-six percent of the equity share capital of Tata Sons is held by philanthropic trusts, which support education, health, livelihood generation and art and culture.

In 2021-22, the revenue of Tata companies, taken together, was $128 billion (INR 9.6 trillion). These companies collectively employ over 935,000 people, globally.

Each Tata company or enterprise operates independently under the guidance and supervision of its own board of directors. There are 29 publicly-listed Tata enterprises with a combined market capitalisation of $311 billion (INR 23.6 trillion) as on March 31, 2022.

Major companies in different businesses include Tata Consultancy Services, Tata Motors, Tata Steel, Tata Chemicals, Tata Consumer Products, Titan, Tata Capital, Tata Power, Indian Hotels, Tata Communications, Tata Digital and Tata Electronics.

TATA

Mahindra

Reliance Industries Limited

adani

HINDUJA

ADITYA BIRLA GROUP

RPG

JSW

In modern corporate and conglomerate structures, interconnectivity of subsidiaries and associates has increased.

# Tata Group

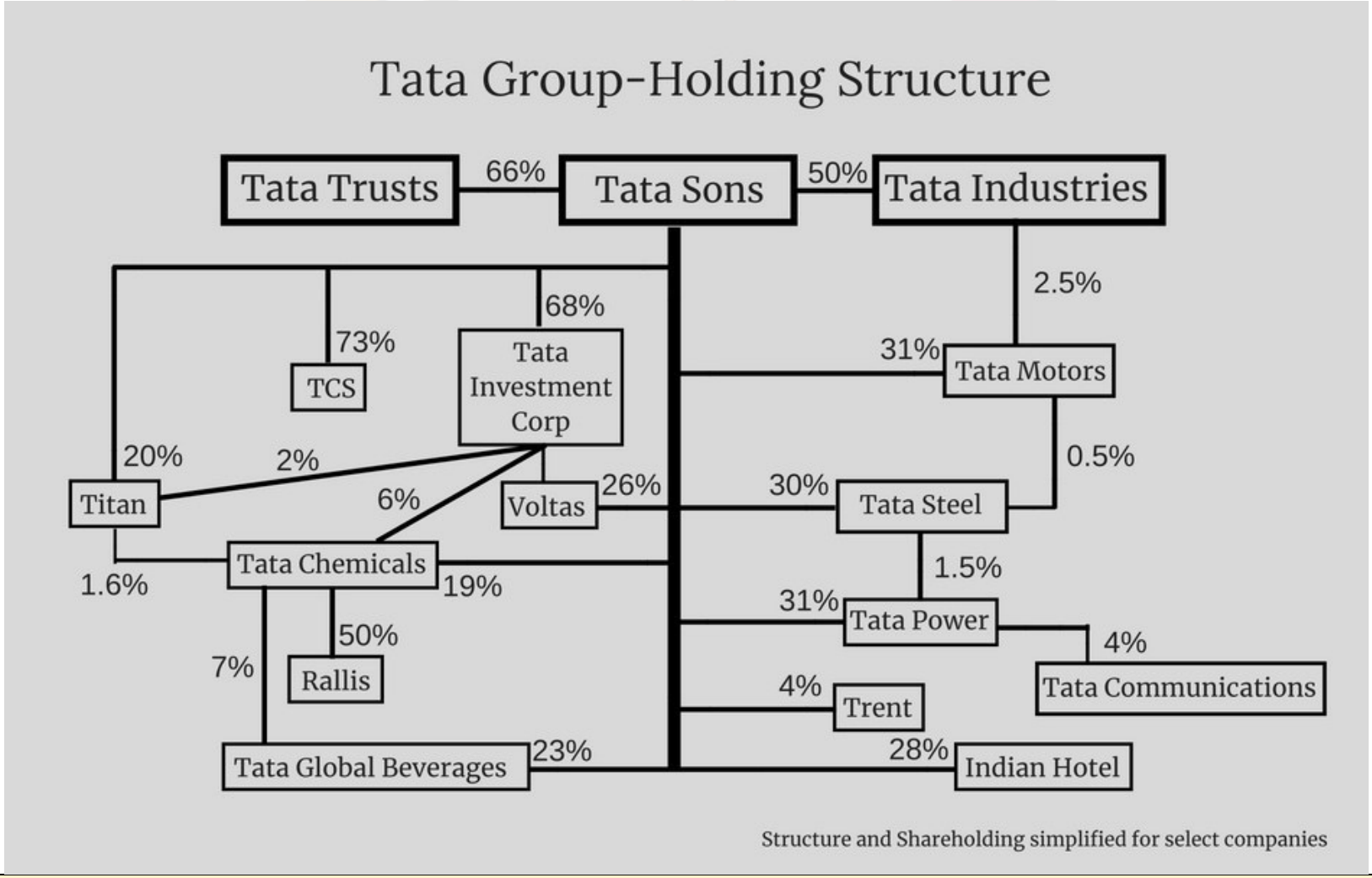
**The Tata group's ten business verticals and the companies in each are tabulated below, showing the spread.**

| SN | Business Vertical | Major Companies |
|---|---|---|
| 1 | Technology | Tata Consultancy Services, Tata Elxsi, Tata Digital, Tata Electronics |
| 2 | Steel | Tata Steel |
| 3 | Automotive | Tata Motors, Jaguar Land Rover, Tata Autocomp Systems |
| 4 | Consumer & Retail | Tata Chemicals, Tata Consumer Products, Voltas, Titan, Infinity Retail (Croma), Trent |
| 5 | Infrastructure | Tata Power, Tata Projects, Tata Housing, Tata Consulting Engineers, Tata Realty and Infrastructure |
| 6 | Financial Services | Tata Capital, Tata AIA Life, Tata Asset Management, Tata AIG, |
| 7 | Aerospace & Defence | Tata Advanced Systems |
| 8 | Tourism & Travel | Indian Hotels Company, Tata SIA Airlines, Air Asia India, Air India, |
| 9 | Telecom and Media | Tata Communications, Tata Play, Tata Teleservices, Tejas Networks |
| 10 | Trading and Investment | Tata International, Tata Industries, Tata Investment Corporation |

Some of the above such as Tata Digital have step-down subsidiaries such as Tata Neu, BigBasket, and Tata 1 mg.

# Tata Group Structure (Simplified)

The following illustrates the Tata Group structure in a simplified manner illustrating how subsidiaries came on own.




In modern corporates and conglomerates, interconnectivity of subsidiaries and associates is traced through consolidated accounts.

# Tata Group Shareholding in Listed Companies

Tata Sons owns several of the listed companies but Tata Sons itself has some cross-holdings of its subsidiaries.

| Company | Tata Group Shareholding* |
|---|---|
| Indian Hotels Company | 39.1% |
| Tata Chemicals | 30.8% |
| Tata Communications | 48.9% |
| Tata Consultancy Services | 71.9% |
| Tata Elxsi | 44.6% |
| Tata Global Beverages | 34.5% |
| Tata Investment Corporation | 73.0% |
| Tata Motors** | 35.8% |
| Tata Power | 33.0% |
| Tata Steel*** | 33.2% |
| Titan Company | 25.0% |
| Trent | 32.6% |
| Voltas | 30.3% |

* Tata Group Shareholding in Listed Companies

** Tata Motors: Represents effective voting rights, including differential voting rights (DVR). Equity ownership is 30.9%

***Tata Steel: Including partly paid shares

The above is not a comprehensive listing though it has been taken from the Tata Group Website.

# Overseas Subsidiaries

Formation of subsidiaries becomes a routine part of overseas market expansion of Indian or overseas companies.

**Many Indian automobile companies have overseas subsidiaries**

- Some are nominal subsidiaries
- Some are flagship subsidiaries

**Regional flagship subsidiaries as anchors for local markets**

- For the single market
- For the cluster of markets

**Meet local regulatory requirements of local legal presence**

- Comply with local policies/rules
- Separate the parent from local

Keep track of local opportunities

Bring in local capabilities

Be localized and quick in decision making

Large companies tend to have dozens of overseas subsidiaries bringing in challenges of financial management too.

# Two Types of Subsidiaries

Ashok Leyland, India's leading commercial vehicle manufacturer, has two successful role models of subsidiaries

A Lanka Ashok Leyland Bus

More than 70,000 trucks and buses put onto Sri Lankan roads by LAL in the past 36 years (since founded in 1983).

Market Share growth from 13% twenty years ago to 60% currently.

Large range of trucks from 3 tonne GVW to 49 tonne GTW and buses from 20-seater to 75-seater.

Island-wide network of authorized service stations and spare parts stockists.

Ashok Leyland RAK bags order for 1,400

Ashok Leyland's US$ 50 million state-of-the-art manufacturing facility in Ras Al Khaimah, UAE, established in 2008, is the only certified local bus-making facility in the entire GCC.

Has been in the forefront of meeting the commercial vehicle needs of the GCC countries.

Recently bagged orders from major fleets for 1,400 school buses in UAE - the company's largest ever supply of school buses in UAE.

While LAL meets the demand in Sri Lanka, AL's RAK plant meets the regional demand – island versus continental!

# Step-down Subsidiaries

A subsidiary of a parent company, in turn, sets up a subsidiary and it is called a step-down subsidiary.

Overseas stepdown subsidiaries out of India require special approvals of the Reserve Bank of India.

A Company in Country A

Sets up its Subsidiary in Country B

Sets up again a Subsidiary in Country A

Overseas Stepdown Subsidiary through Country B

Overseas stepdown route is adopted as it is important to bring in overseas technology and expertise without losing domestic control

Sets up its Subsidiary in Country A

Sets up its Subsidiary in Country A

Domestic Stepdown Subsidiary in Country A

Domestic stepdown route is adopted when the subsidiary has many sub-businesses that it needs to look after in the country

Examples of Adani Group Domestic Stepdown Subsidiaries

Adani Enterprises → Adani Road Transport → Kagala Satara Road

Adani Enterprises → Adani Airport Holdings → Sabarmati Infrastructure Services Limited

# Wholly Owned Subsidiary

When a region is of strategic interest to a company, establishing a wholly owned subsidiary in the region is a logical approach for the company. Many Indian pharmacos have done that with significant success in the US.

SUN PHARMA

AUROBINDO

Piramal

INTAS

Zydus dedicated to life

Glenmark A new way for a new world

Cipla

Dr.Reddy's

LUPIN

Wholly Owned Subsidiaries for business development can be resorted to only when companies are willing to commit their resources to the geography with a specific business and investment agenda.

# Subsidiary Strategy Can be in Parallel with Strategic Alliance

The success of the subsidiary approach would rest on defining a clear strategic agenda that is not incompatible with the other approaches that the company may be taking. In fact, a graded evolution is possible.

**Phase 1: 1 to 3 years**

- Understanding the market
- Providing logistics support to the parent and the partner

Passive Phase

**Phase 2: 4 to 6 years**

- Monitoring the partner performance
- Evaluating and developing new partnerships, and/or beginning own marketing

Active Phase

**Phase 6: 7 years +**

- Creating a total marketing infrastructure and strategy
- Own branding and sales
- Developing new product and business opportunities

Growth Phase

It requires a degree of strategic finesse to be able to start a subsidiary route in parallel with strategic alliance. Strategically, a leeway provided in the alliance agreement helps. Note that the alliance partner may also do the same – that is, have its own development and manufacturing subsidiary in India or elsewhere!

# Pharma Subsidiaries for Value Creation

**The Indian pharmaceutical industry has been focusing on subsidiary creation to ring-fence specialized businesses and induct capital at appropriate valuations or eventually spin them off at a future date.**

CAPLIN POINT LABORATORIES LTD.

Wholly owned subsidiary specialising in sterile injectable products for developed markets

CAPLIN STERILES

With minority equity participation from Eight Roads and F Prime

AUROBINDO

Wholly owned subsidiary specialising in sterile injectable products for developed markets

eugia

# Auto Subsidiaries for Transformation

**The Indian automobile industry has been focusing on subsidiary creation to develop value in the nascent and emerging technology businesses and induct capital at appropriate valuations or eventually spin them off later.**

Mahindra

**EV Co**
Subsidiary for Electric Vehicles

The British International Investment (BII) and Mahindra will both invest Rs **1,925 crore**

TATA MOTORS

**Tata Passenger Electric Mobility Ltd**
Subsidiary for Electric Vehicles

Investment of Rs 7500 crore by PE firm TPG

ASHOK LEYLAND

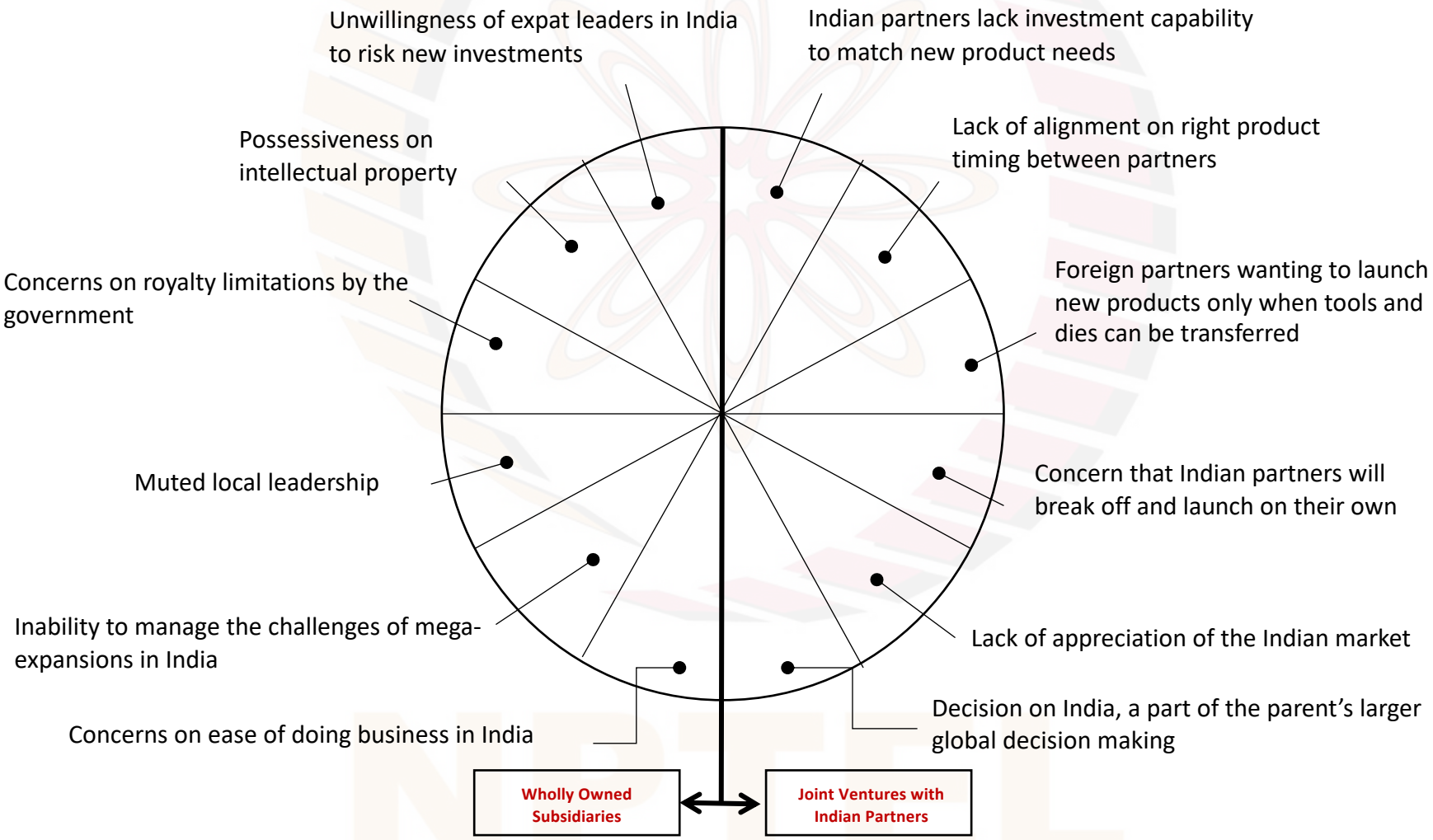
**Switch Mobility UK**
Subsidiary for Electric Vehicles

Dana invests USD 18 million

**Switch Mobility India**

Subsidiary for Electric Vehicles

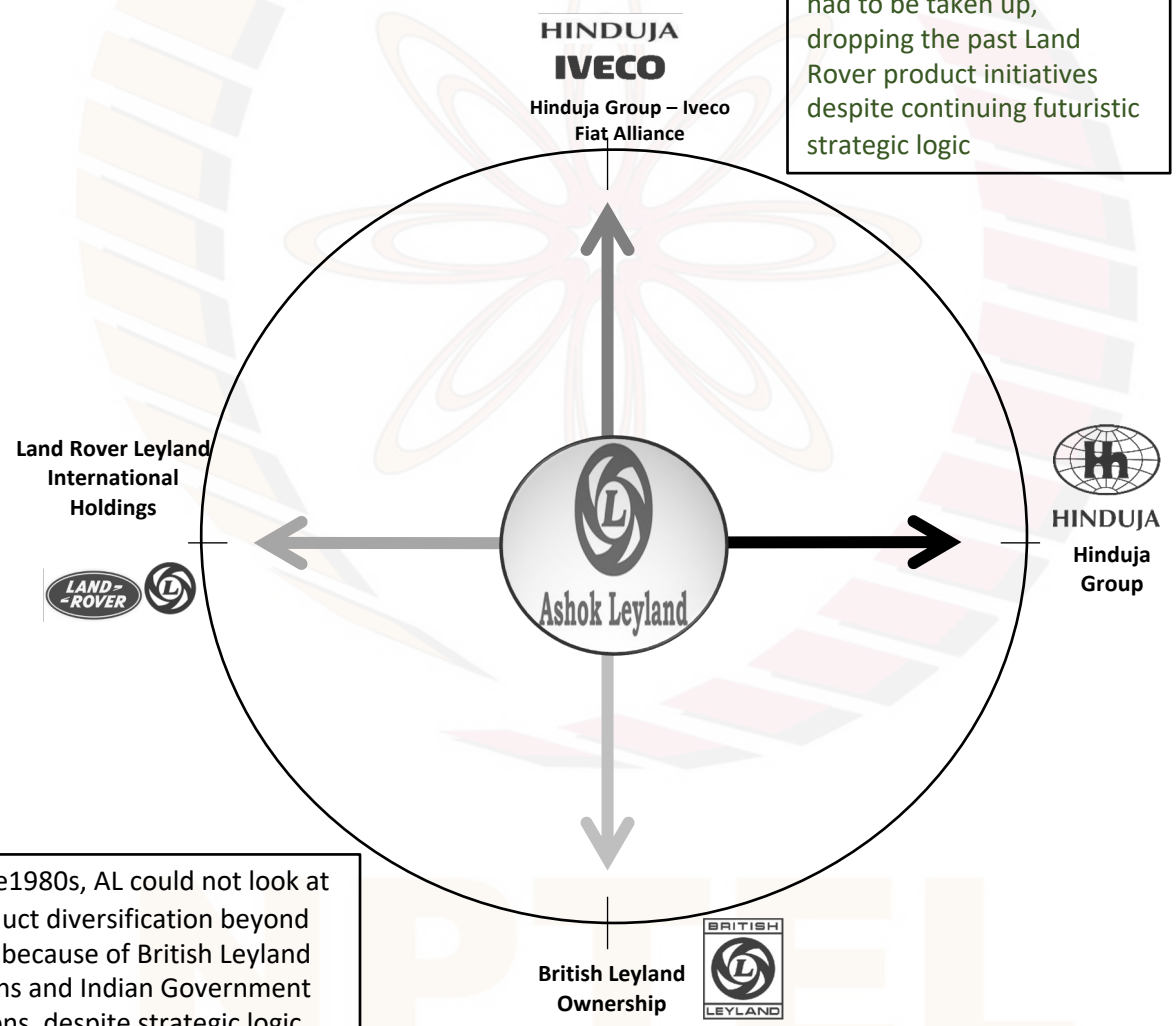
# Subsidiaries and JVs of Foreign Companies Lag in Product Strategy



# Ownership and Portfolio Perspectives

From 1987, with new ownership, new initiatives had to be taken up, dropping the past Land Rover product initiatives despite continuing futuristic strategic logic

In the 1980s, AL could evaluate Land Rover products as an alliance possibility because of strategic logic, and ownership structure




From 2006, with Hinduja Group buying out Iveco stake, AL opened up to new initiatives but Jaguar Land Rover became a part of AL's competitor, Tata Motors – a case of strategic logic being subservient to ownership compulsions!

Up to the1980s, AL could not look at any product diversification beyond M/HCVs because of British Leyland limitations and Indian Government regulations, despite strategic logic

# Hyundai India as a WOS

When Hyundai Motor desired to enter India in 1996, it chose the wholly owned subsidiary (WOS) route over JV.

**Three Reasons**

Automobile manufacture is investment-intensive; Indian JV partners unlikely to match investments

The JV format would limit the capability of the Indian venture to what the Indian parent can support (given that foreign partners are better endowed financially)

Post-liberalization, it was becoming increasingly less necessary for a foreign company to have an Indian JV partner

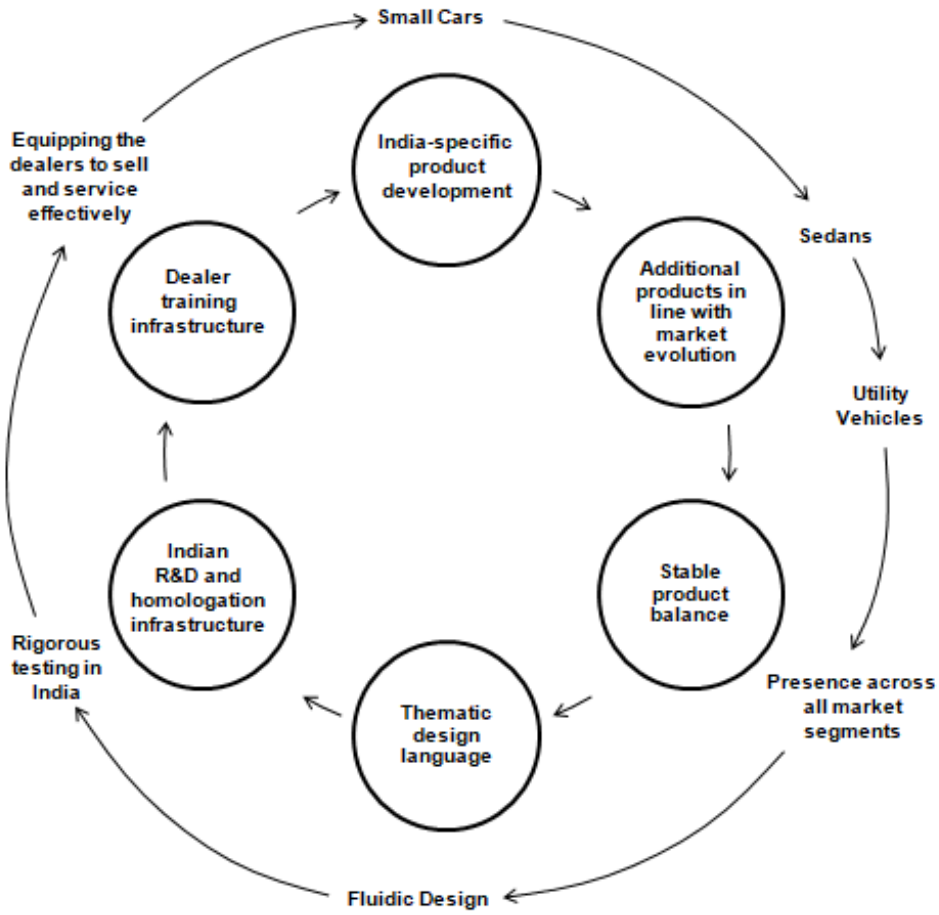
Foreign companies desire control on product and manufacturing strategies

Foreign companies believe in global One Firm concept

Foreign companies believe in strong local-parent bonds through matrix organisation

WOS of a foreign company can succeed with the right combination of Indian leadership and foreign expertise.

# Success Formula of Hyundai India




**Wholly Owned Enterprises, in general, would succeed by adopting similar principles**

# Hospira India as a WOS

When Hospira India, the global sterile injectables giant, desired to enter India in 2010 it chose the WOS route.

**Initially established a branch office in India in 2007**

- Understood the potential of India in the development and manufacture of generic injectable pharmaceutical products

**Established Hospira Healthcare India Private Limited**

- Established HHIPL as a WOS in 2009 and used it as a vehicle to acquire the sterile injectables business of Orchid Chemicals and grow it

**Till the date of its acquisition in 2015 by Pfizer, Hospira India remained a WOS of Hospira Global**

- As a WOS, Hospira India expanded dramatically from 1 site to 9 sites, from 450 employees to 4,500 and to multiple business lines in just 5 years

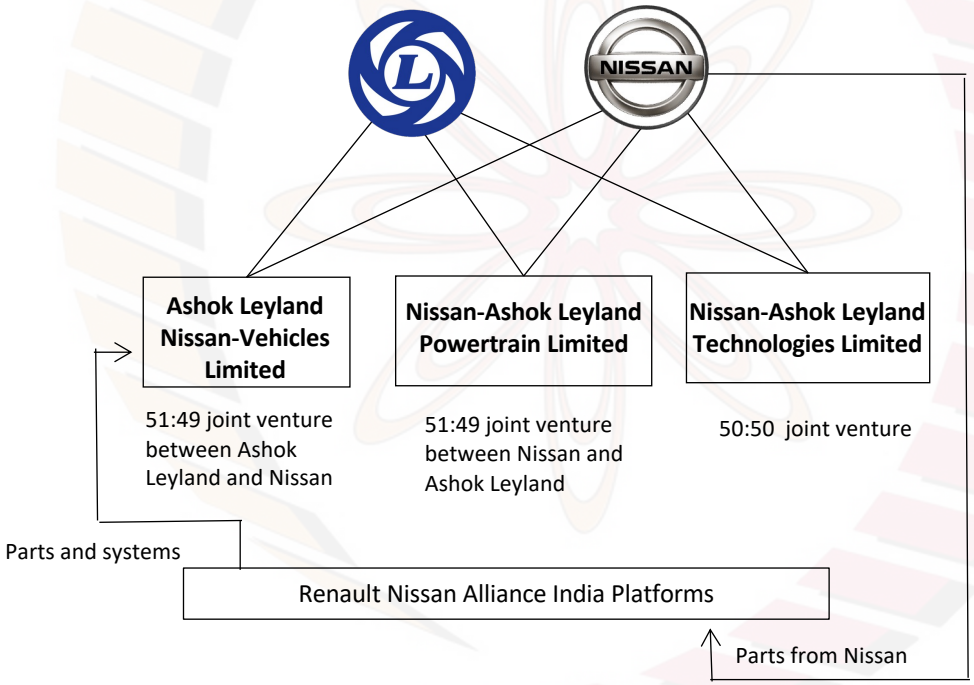
Strong Indian leadership with global leadership support

Visible creation of state-of-the-art R&D and Manufacturing assets

A clear plan for product transfers for cost-competitiveness from the Indian operations

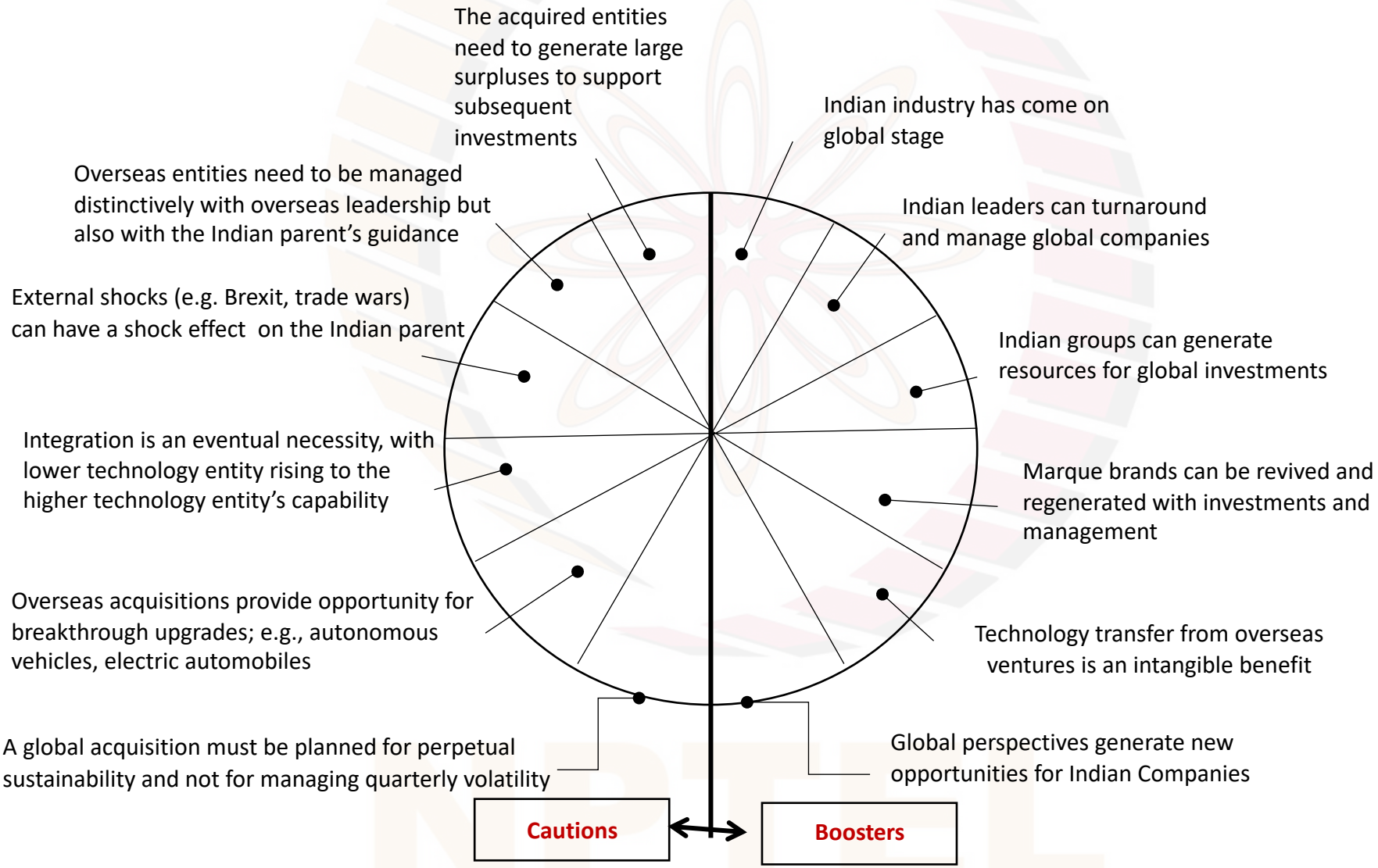
Hospira India demonstrated that WOS of foreign companies can succeed with the right Indian technology and leadership.

# Ashok Leyland-Nissan LCV Partnership



- The 3-JV partnership system established in 2008 collapsed under the burden of complexity and confused accountability, in a scenario of low volumes and negligible market shares
- Ashok Leyland acquired Nissan stakes in 2016 in a rejig; Ashok Leyland is now quite successful with its Nissan Dost LCVs, and looking to expand the product range and grow the volumes in the LCV range
- Renault-Nissan Alliance is mulling a re-entry into the LCV space on its own (time horizon unclear)

# Lessons from Tata Motors' JLR Acquisition and Turnaround



# Japan-China Automobile Industry Tie-ups

| Japanese Company | Equity Stake in Chinese Company | Name of Japan-China JV | Japanese Partner's Products Manufactured |
|---|---|---|---|
| Toyota | 40% | Tianjin FAW Toyota Motor Co. Ltd | Vicos, Corolla, Crown, Reiz |
| | 50% | Sichuan FAW Toyota Motor Co. Ltd | Coaster, Prado, RAV4 |
| | 30.50% | GAC Toyota Motor Co Ltd | Camry, Highlander, Levin, Yaris |
| Mazda | 50% | Changan Mazda Automobile Co. Ltd | Mazda 3, CX-5 |
| | 25% | Changan Ford Mazda Engine Co Ltd | Engines for Mazda cars |
| Suzuki | 50% | Chongquin Changan Suzuki Automobile Co Ltd | Alto, Swift, Vitara, SX-4, S- Cross, Alivio |
| | 46% | Jiangxi Changhe Suzuki Automobile Co Ltd | Wagon-R Wide, Liana |
| Isuzu | 20% | Quingling Motors Co Ltd | Elf, Forward |
| | 50% | Jiangxi-Isuzu Motors Co Ltd | |
| Mitsubishi | 30% | GAC Mitsubishi Motors Co Ltd | Mitsubishi Cars |
| | 25% | Southeast(Fujian) Motors Co Ltd | Mitsubishi Cars |
| Nissan | 50% | Dongfeng Motor Co Ltd | |
| | 50% | Zhengzhou Nissan Automobile Co Ltd | NV 200, Paladin |
| Honda | 65% | Honda Automobile(China) Co Ltd | |
| | 50% | Dongfeng Honda Automobile Co Ltd | CR-V, Civic |
| | 50% | Guangqi Honda Automobile Co Ltd | Accord, Odyssey, Vezel, Fit |
| Hino | 50% | Shanghai Hino Engine Co Ltd | Engines |
| | 50% | Guangqi Hino Motors Co Ltd | |

Source: Japan Automobile Manufacturers Association, Inc; "The Motor Industry of Japan 2018"

Unlike India, China encouraged multiple partnerships for domestic joint ventures, leading to better absorption of technology and best practices both at firm level and industry level.

# Thank you!

NPTEL COURSE

# BUSINESS DEVELOPMENT
## From Start to Scale

## Week 9: Lectures 41 to 45
## Business Development Structures

## Lecture 45: Mergers and Acquisitions

Prof. C Bhaktavatsala Rao, Ph.D.
Ajit Singhvi Chair Professor
Department of Management Studies
Indian Institute of Technology Madras
and
Founder – LeaderCrest Academy

# Mergers and Acquisitions (M&As)

Mergers involve joining together of two firms to create a new larger entity. Acquisitions involve takeover of a company or its business by another company. M&As are of multiple types as discussed in this and subsequent slides.

## Mergers

- Horizontal Merger
- Vertical Merger
- Absorption Merger
- Conglomerate Merger

A merger in the same business is called horizontal merger. It helps overcome competitive weakness or increase the competitive strength of the firms.

Vertical mergers occur when companies merge to create a more integrated value chain. For eg., firms in e-commerce and digital payments, in merger.

Unrelated business mergers lead to conglomerate merger. Merger of firms with dissimilar businesses is the nucleus for starting conglomerate development.

Conglomerate mergers, popular in the 1960s and 1970s, provide economies of scope, besides de-risking and diversifying respective base businesses.

Mergers also occur when conglomerates restructure their individual businesses for alignment and synergy. These mergers are absorption mergers.

The recent exchange of businesses between two Tata Group companies, Tata Fertilizers and Tata Chemicals on one hand and Tata Chemicals and Tata Global Beverages on the other hand, reflect absorption mergers.

# Banking Mergers

Mergers happen usually between two equal or near equal firms or a small company folding itself into a larger company. At times, a larger company merges itself into a smaller listed company to get the benefit of immediate public listing.

Merger of IDBI, a larger developmental institution into its subsidiary IDBI Bank in 2005, and the earlier merger of ICICI, a similar financial development institution with its listed subsidiary ICICI Bank in 2001 are two examples of the latter.

ICICI merger had been a true success with a larger capital base, economies of scale and scope, and more effective consolidation as a universal banking corporation. In contrast, IDBI merger has not been as successful.

The merger of three public sector banks, Bank of Baroda, Dena Bank, and Vijaya Bank in 2018 and other follow-on bank mergers in 2020 are more recent phenomena.

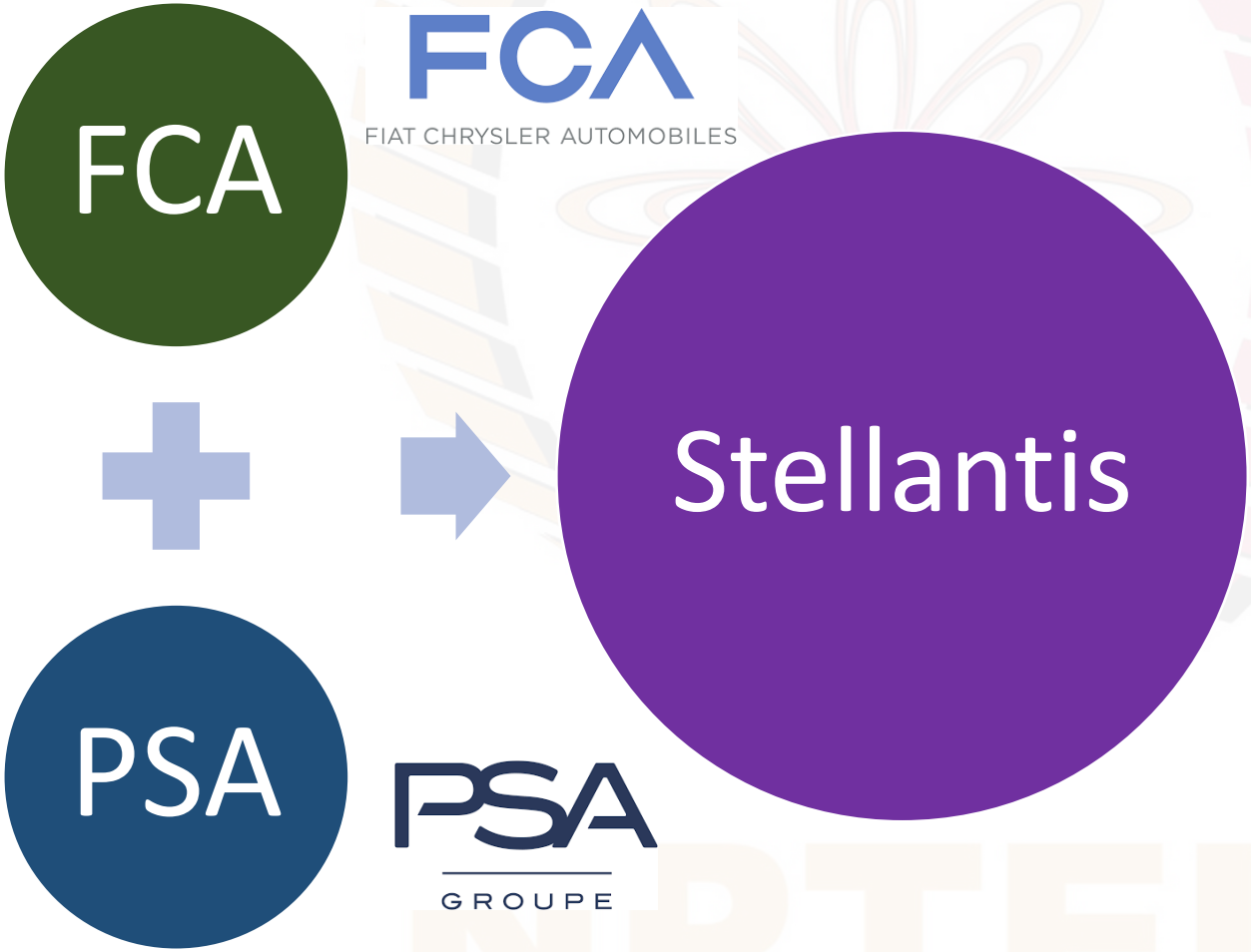
It is expected that more mergers in the financial sector would happen, with stronger and weaker institutions getting merged.

The cycle of companies starting small, growing profitably or weakly, and getting consolidated with bigger players is both a historical trend and a prudential necessity.

There has also been a trend of mainstream automobile companies, each reputed and strong in its own right, combining to form a new powerful automobile entity.

# Automobile Mergers

Automobile mergers have, in the past, been resorted to obtain economies of scale and scope, and derive synergies.



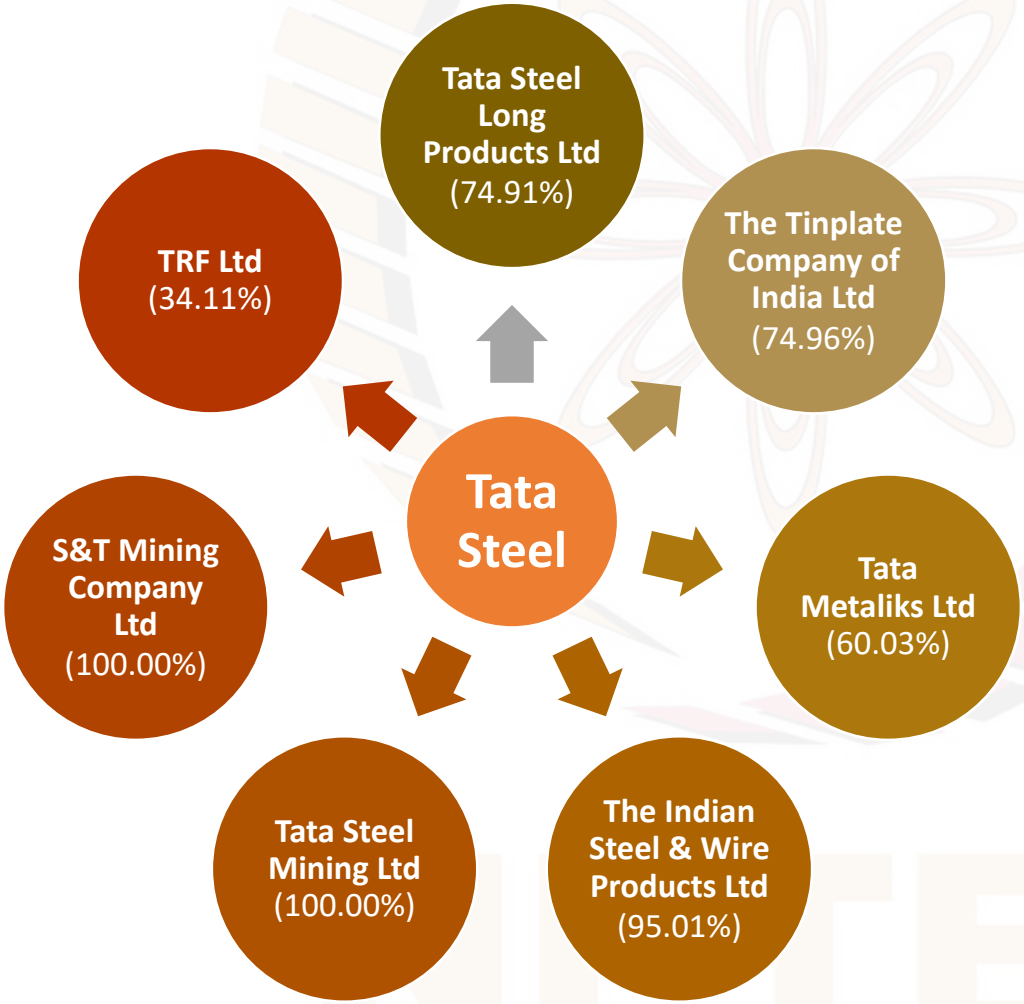

Stellantis became the world's fourth largest automaker with brands from both the pedigrees such as Alfa-Romeo, Jeep, Dodge, and Ram as well as Citroën, Peugeot, and Opel.

With annual sales of approximately eight million vehicles and 400,000 employees, the combined entity became the fourth-largest global automaker by volume.

PSA and FCA themselves emerged in the past out of mergers. The cycle of mergers continued in terms of Stellantis.

# Tata Steel Amalgamation

Amalgamation is a special form of merger. Tata Steel announced on September 23, 2022 amalgamation within itself of its seven subsidiaries to create the world's largest steel making company. Tata Steel's equity holdings given in brackets.




**Tata Steel on the Benefits of Amalgamation**

The proposed amalgamations will enhance management efficiency, drive sharper strategic focus and improve agility across businesses based on the strong parental support from Tata Steel leadership.

In line with Tata Steel's long-term strategy, the consolidation of the downstream operations will enable growth in value added segments by leveraging Tata Steel's nationwide marketing and sales network.

The amalgamations will also drive synergies through raw material security, centralized procurement, optimization of inventories, reduced logistics costs, and better facility utilization.

On completion, there will be further opportunities towards reduction of overhead and corporate costs. Each of the proposed amalgamations will be value-accretive for shareholders.

While subsidiaries may be set up initially for focus on certain businesses, amalgamation simplifies structure later on.

# Acquisitions

Acquisitions involve takeover of a company or its business by another company, to expand and diversify the acquirer.

## Acquisitions

Acquisitions provide an opportunity to pick and choose parts of business that make good techno-economic sense for the acquiring company.

- Asset Acquisition
- Division Acquisition
- Bolt-on Acquisition
- Company Acquisition

In certain cases, the whole business is acquired, for cash or stock or a combination thereof while in some cases assets are acquired on slump sale basis.

The range of acquisitions could vary widely depending on the scale and scope, from a few millions of dollars to several billions of dollars.

Global pharmaceutical industry has been the hotbed of mega acquisitions, some of them cross-border.

Large and mega acquisitions capture employee, investor and public imagination, and also take the entities to much higher trajectories.

Smaller acquisitions, called bolt-on acquisitions, which bring selective capabilities into the fold of the acquiring company, are becoming more popular.

# Demergers and Spinoffs – 1

Demergers and spinoffs, post-incubation and successful ramp-up, constitute another mode of business development.

- Promoters, corporates and conglomerate interests promote several related and unrelated businesses in their structures as unlisted companies.
- Once the operations reach critical level, the parent company demerges its businesses. The demerged businesses are also typically listed.
- Spinoffs happen when a part of the business can be constituted as a separate entity with its own value chain, although within the same overall industry.
- Like mergers and acquisitions, demergers and spinoffs, when properly conceptualised and executed, can be transformational.

Demerger of Arvind into Arvind Fashions and The Anoop Engineering, and separation of Adani Gas and Adani Green Energy from Adani Enterprises are two examples.

An Indian pharmaceutical company can constitute its drug discovery operations as a separate entity and spin it off once a good product pipeline is built.

ITC can represent a potential example of groundbreaking demerger and value unlocking if verticals such as FMCG and Hotels are demerged.

Well-timed demerger or spinoff of unrelated businesses can create value for all the entities, leading to fresh growth.

# Synthesis

Collaborations, alliances, joint ventures, subsidiaries, mergers & acquisitions, demergers and spinoffs fulfil a variety of purposes. These structures will change in appropriateness depending on internal and external contexts over time.

**Collaborations are a simple way to gain strengths for a consideration**

| | |
|---|---|
| Independent in structure and strategy; Enables a firm gain strengths for a fee/royalty | However, the level of internalisation that occurs with collaborations is very specific and time titrated. |

**Strategic alliances enable companies to complement each other**

| | |
|---|---|
| Will help firms complement their strengths, pool costs and share profits | However, the respective strengths and weaknesses remain as they were |

**Joint ventures help in driving new business formations**

| | |
|---|---|
| Transfer the capabilities of partners to a new entity for further development | Joint shareholding acts as the biggest constraint in driving JVs to perpetuity |

**Subsidiaries help companies drive new businesses without losing ownership control**

| | |
|---|---|
| Provide unfettered access to the parent's resources while adding new specific strengths | Over time, a structure of multiple subsidiaries could become resource-intensive and unwieldy |

**Mergers and Acquisitions helps firms choose and merge or acquire firms with the required capabilities**

| | |
|---|---|
| Step-function increase in capabilities; All-stock mergers avoid immediate financial expenditure | Diversity of cultures, overlapping of activities and non-accrual of synergies limit M&A effectiveness |

**Demergers and spinoffs are appropriate when the incubated ventures have great standalone business potential**

| | |
|---|---|
| Releases cash and resources; will induct fresh capital, drive fresh growth and create market value | The timing of demerger or spinoff and potential loss of control and future value creation are debatable |

All the above options help firms supplement themselves with others' strengths or provide their strengths to others. They also help firms reorganise themselves structurally for better financial and business efficiencies.

# Strategist's Responsibility

The strategist has the responsibility to evaluate various structures of business development and choose the right one.

- The Chief Strategy Officer has the responsibility to weigh in on the organic and inorganic ways of achieving growth for the firm
- The CSO must evaluate the appropriate sequence and mix of collaborations, alliances, joint ventures, subsidiaries, and M&A
- Must be agile and opportunistic to pick up any exciting collaboration or acquisition opportunity that emerges even if it is not in the agreed frame of strategic reference.
- The processes of identifying a need, selecting a path, and zeroing in on a target for collaboration or acquisition involve both science and art of strategic management.

The processes involve technical analysis and emotional engagement

They require the firms to be patient and diligent as well as alert and apprehensive

While analysing carefully, they must also pursue opportunities with excitement and enthusiasm.

The multiple and seemingly conflicting factors can be addressed by processes that assure value in such strategies.

# A Framework for Mergers & Acquisitions

Mergers and acquisitions are the primary vehicles for step-function growth. While alliances and joint ventures take their time to grow, mergers and acquisitions offer an immediate opportunity to enter a new area and/or ramp up scale.

| Proposal | Filters | M&A |
|---|---|---|
| Value for both the companies<br>Opportunity-Affordability | Competition Commission Requirements<br>Global Regulatory Requirements | Expanded Scale and Scope<br>Expanded Industrial and Business Presence |

Mergers and acquisitions require that at least one party has the required financial power not only to merge or acquire but also make additional investments.

Merger of equals is rare in the sense that even though the two entities may be able to have successful businesses, one of the entities tends to have access to superior cash resources to effect a merger or an acquisition, as an alternative.

In Vodafone-Idea telecom entities' merger, although both the entities are large, Vodafone has greater strength as a profitable global player.

Pfizer's acquisition of Wyeth is a case of Pfizer's superior financial strength overwhelming Wyeth's independent existence, despite Wyeth's ability to run as an independent company.

# Expensive Mergers & Acquisitions

While mergers and acquisitions provide opportunities for immediate step-function growth and major diversification, they also tend to be expensive.

## Value Erosion

There are as many cases of value-eroding mergers and acquisitions as there are of value-accretive ones. As with alliances and joint ventures, therefore, careful due diligence and framing of expectations is necessary.

An asset-light and cash-rich entity may acquire an entity with strong manufacturing assets, and yet pare the assets after acquisition.

Mergers and acquisitions often lead to loss of institutional leadership of the weaker or smaller partner, leading to certain gaps in the development of new merged business.

A strong marketing organisation may acquire a powerful branded business, and yet fail to grow the acquired brands further.

Many times, the business logic and the cultural mosaic of the weaker or smaller party fail to get the due recognition although the success of the smaller/weaker party may have been the first trigger for considering the merger or acquisition.

An established company may acquire an innovative start-up for its novel products, and yet lose the founders who were responsible for such innovation.

The biggest risk in mergers and acquisitions, however, pertains to clash of cultures. Depending on the longevity of the companies, the cultural roadblocks could vary in intensity.

# Regulatory Filters

Typically, mergers and acquisitions would have to go through regulatory filters related to competition and antitrust considerations. National governments, while encouraging scale, also discourage formation of monopolies.

Among various industries, pharmaceutical industry emerges as the frontrunner in the mergers and acquisitions space.

Big Pharma critically needs R&D pipeline as well as entry into newer genetics-based domains for long-term growth.

Established companies with robust drug development pipeline and start-ups with novel therapeutic candidates in advanced clinical programmes become targets for acquisition.

Occasionally, tax considerations also influence merger or acquisition decisions, as was the case with the failed Pfizer-Astra Zeneca acquisition.

Mergers and acquisitions do not have easy paths, with boards of both the companies having a responsibility to maximise value to the respective shareholders.

It is not uncommon for merger and acquisition proposals to take a couple of years or more to fructify. In some cases, they may get abandoned due to shareholder or regulatory issues.

Resolute acquiring companies do make repeated attempts and equally resolute defenders do spurn such bids. In India, L&T successfully resisted acquisition bids by Reliance and Birla Groups in the past.

# Realism in Acquisitions

Given the high risks associated with mega mergers and acquisitions, firms tend to consider smaller transactions that bring specific strengths. These are called bolt-on or tuck-in acquisitions.

An automobile company may seek to acquire a design studio or a body building plant, for example. A pharmaceutical company may acquire a precision medicine start-up.

Mergers and acquisitions are also a great way to integrate across the value chain or diversify product and manufacturing strengths.

As discussed earlier, successful experience by way of an alliance or partnership leads to mergers and acquisitions emerging as follow-on options.

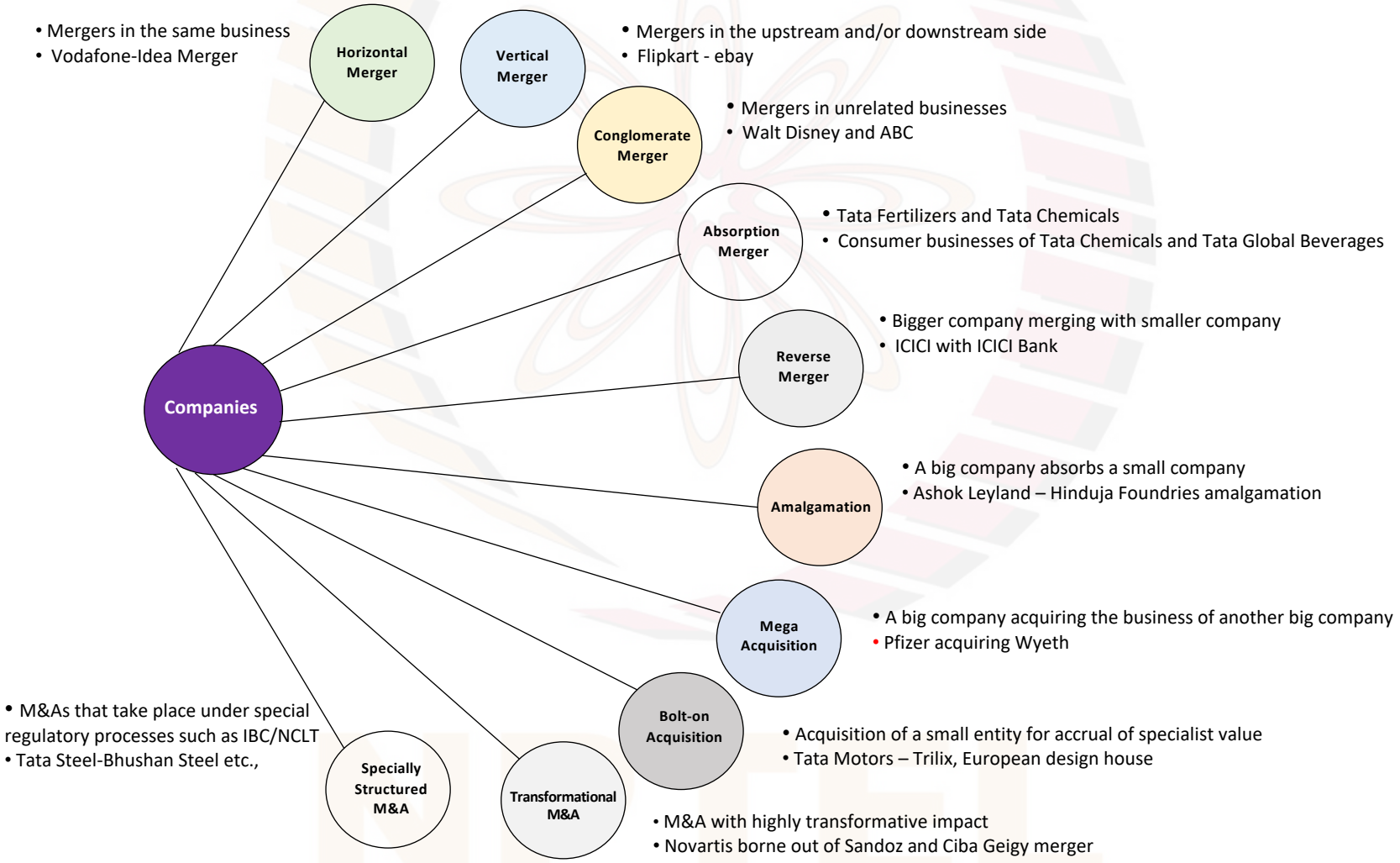
As with alliances, the nature and quality of persons deployed in the joint venture processes determine the success of mergers and acquisitions too.

This domain requires a very unique set of skills and a strategic thinking that gives due weightage to building successful relationships.

Mergers and acquisitions require that the initiating party has the required foresight to see the value and possess the financial strength not only to merge or acquire but also to make additional investments.

Merger of equals is rare as even though the two entities may be able to have successful businesses, one of the entities tends to have access to superior cash resources to effect a merger or an acquisition, as an alternative.

# Types of Mergers and Acquisitions



# Mergers and Acquisitions Provide Strategic Advantage

Many top-ranking firms have reached the scale by the merger of firms with complementary capabilities. If such capabilities exist in marketing arena, the impact will be immediate.

**Technology-driven Merger of R&D or Manufacturing**

- Investment, risk-reward linked to scale and scope of product portfolio
- Synergy could be limited by marketing capability for the combined portfolio

**Commercially-driven Merger of Marketing**

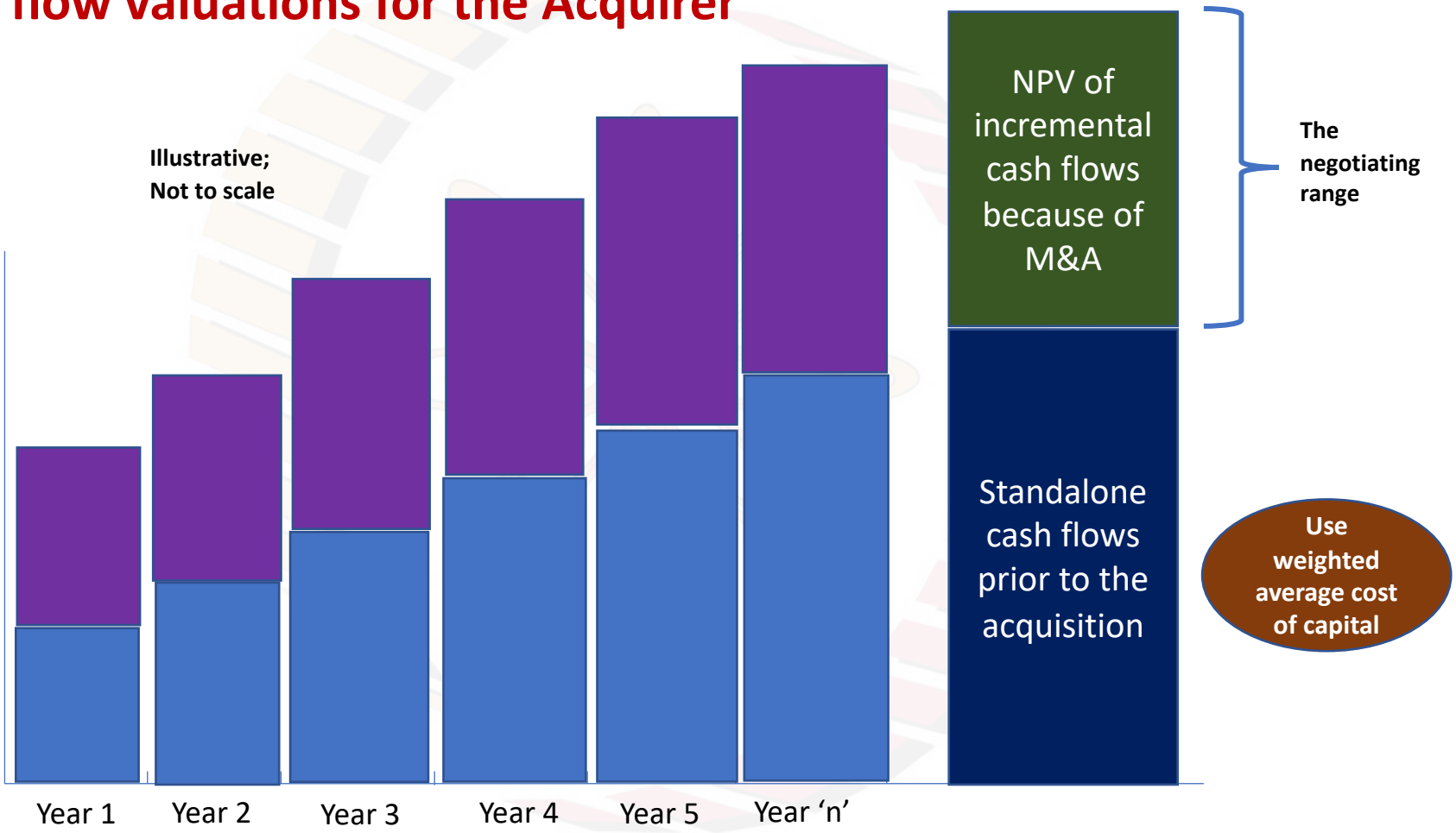
- Could offer immediate marketing boost through portfolio and customer expansion
- Long term synergy linked to R&D and Manufacturing support to leverage the broader marketing capability

**Value Chain Merger of R&D, Manufacturing and Marketing**

- Could offer the highest benefit but with high risk-reward equation
- Problems of overlap and dilution of synergy could emerge
- Managerial bandwidth will be under test

Generating value out of M&A has not been easy in practice. The benefits on paper tend to get eroded due to issues in execution. While securing portfolio breadth, legacy regulatory problems may also be acquired.

# Cash flow valuations for the Acquirer




There is always a likelihood, in M&A, that potential synergies are overestimated while mandatory (but unanticipated) investments are underestimated, over the M&A time span that is considered. This leads to valuation errors. Usually, there is no one good price that can be put on an M&A transaction. Several factors can make or mar viability in course of time, once the price is paid upfront.

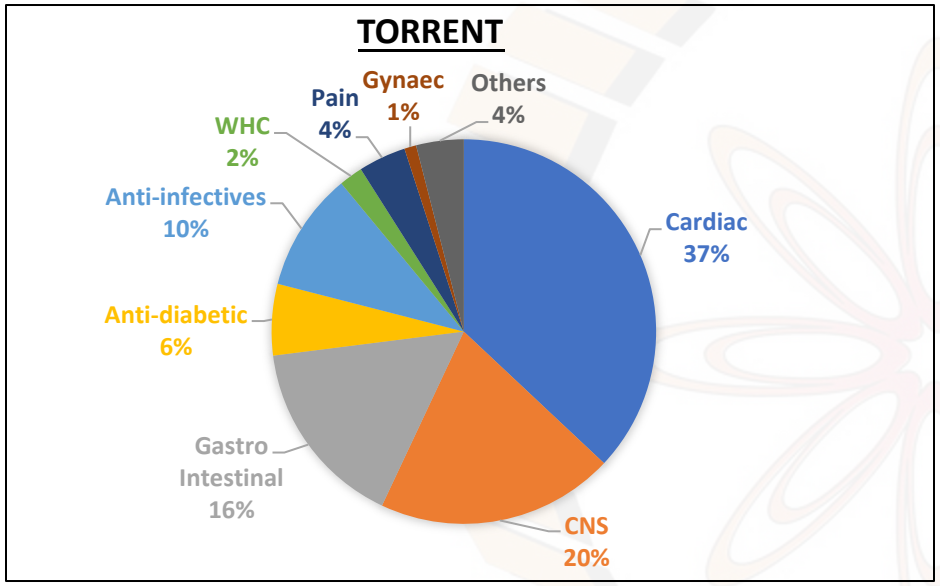
# Multiple Rationales and Enablers for M&A in Indian Pharma

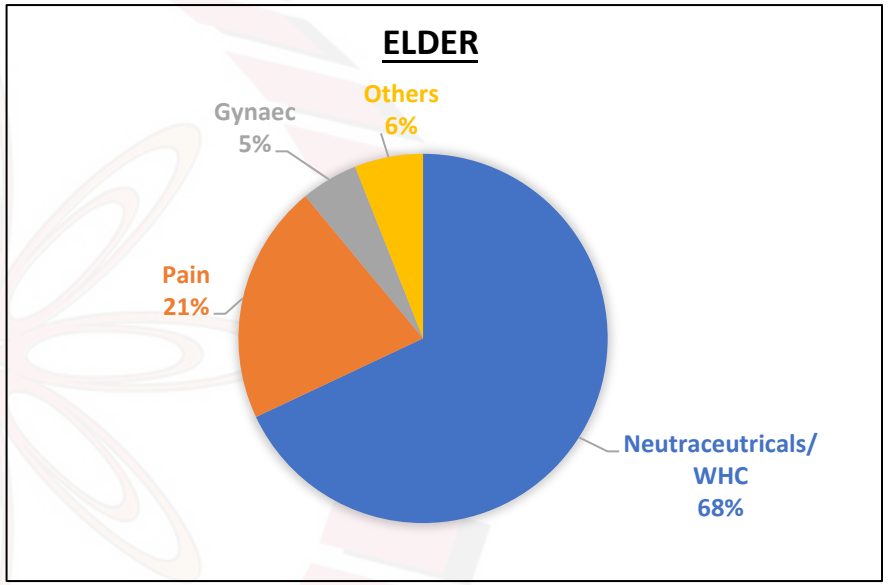
| S.N. | Rationale |
|---|---|
| 1 | Therapeutic Diversification |
| 2 | Product Expansion, for all markets |
| 3 | Global Diversification, esp., in US |
| 4 | Market Expansion, esp., in India |
| 5 | Regulatory De-risking |
| 6 | Attractive Valuation (especially for distressed assets) |

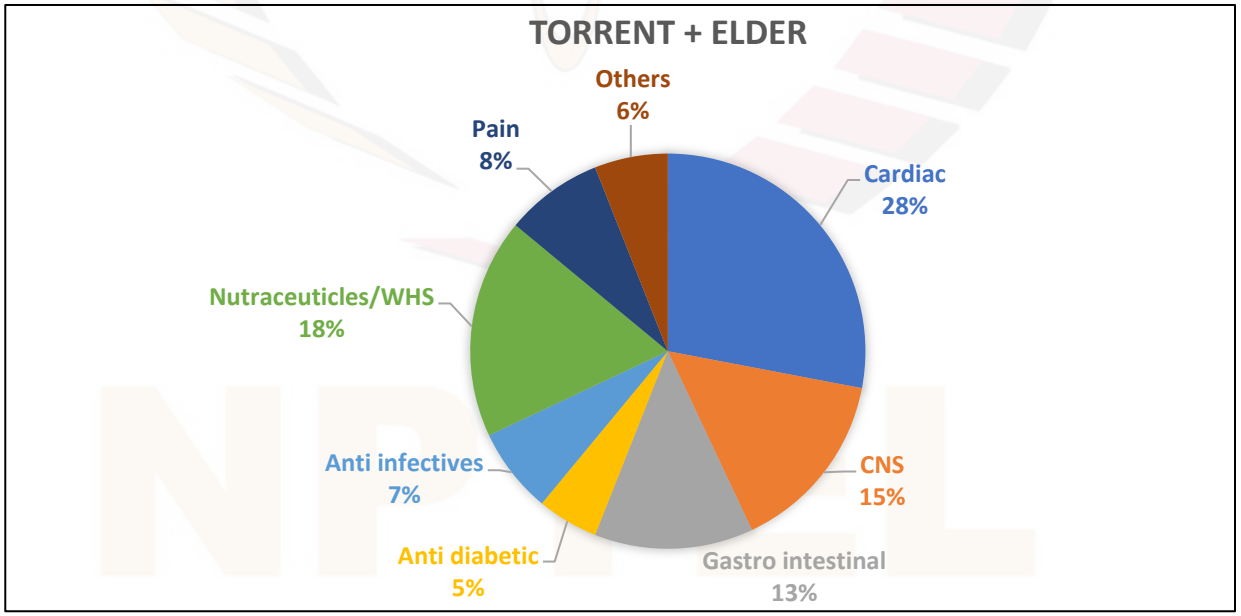
| S.N. | Enabler |
|---|---|
| 1 | Cash Position |
| 2 | Fund raising and profitability |
| 3 | Revenue and profitability generation capacity of current and future business |
| 4 | Payback potential |
| 5 | Strategic fit |
| 6 | Synergy realization |
| 7 | Value accretion |
| 8 | Growth potential |

The Indian pharmaceutical industry has been more outbound (towards US and Europe) than inbound (within India) in its alliances and M&A, despite the fragmented industry structure, huge multiplicity of brands and large domestic market crying for consolidation.

# Therapy Split Pre- and Post- Acquisition: Torrent-Elder Example

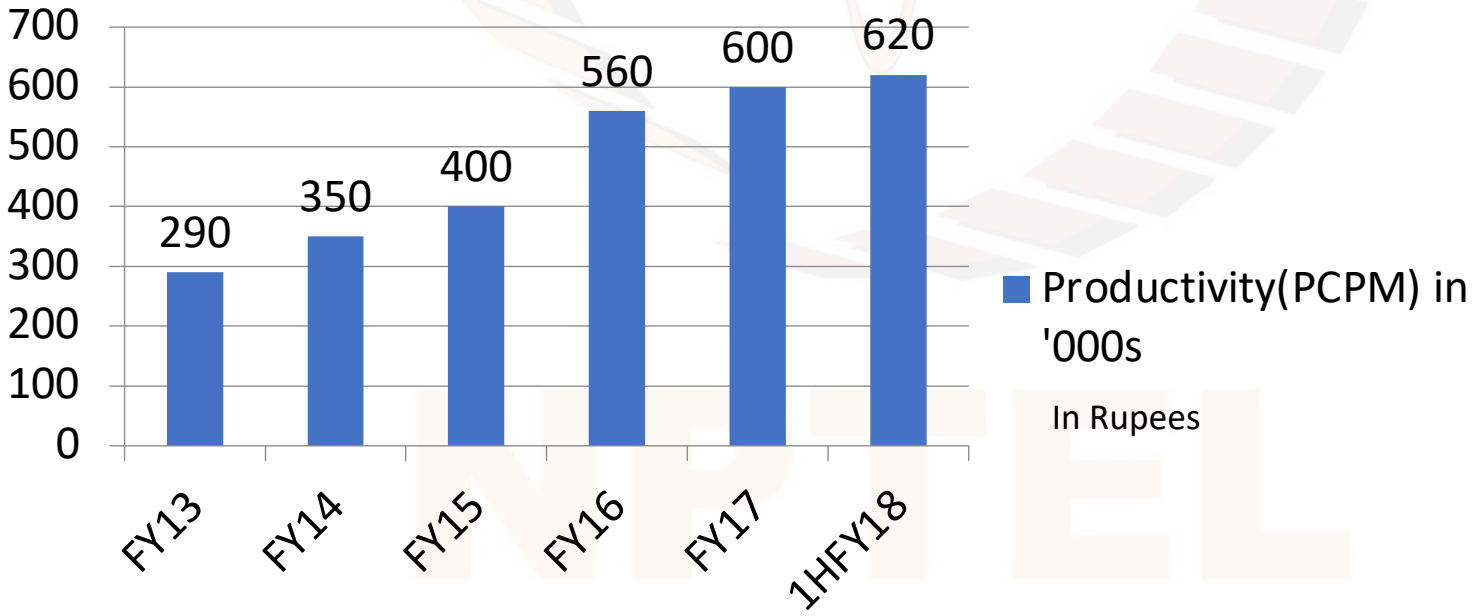


# Torrent's Product Portfolio and Productivity After Elder Acquisition

| Particular | Torrent | Torrent + Elder |
|---|---|---|
| IPM market Share | 2.0% | 2.7% |
| IPM Sales rank | 17 | 12 |
| | | |
| Nutraceuticals/Women's Health Market Share | 0.4% | 6.2% |
| Pain Management Market Share | 0.9% | 2.7% |
| | | |
| Gynecologist Access Rank | 29 | 8 |
| Orthopedician Access Rank | 17 | 10 |
| Surgeons Access Rank | 18 | 12 |



# Deal Profitability Profile: Sun Pharma – Taro

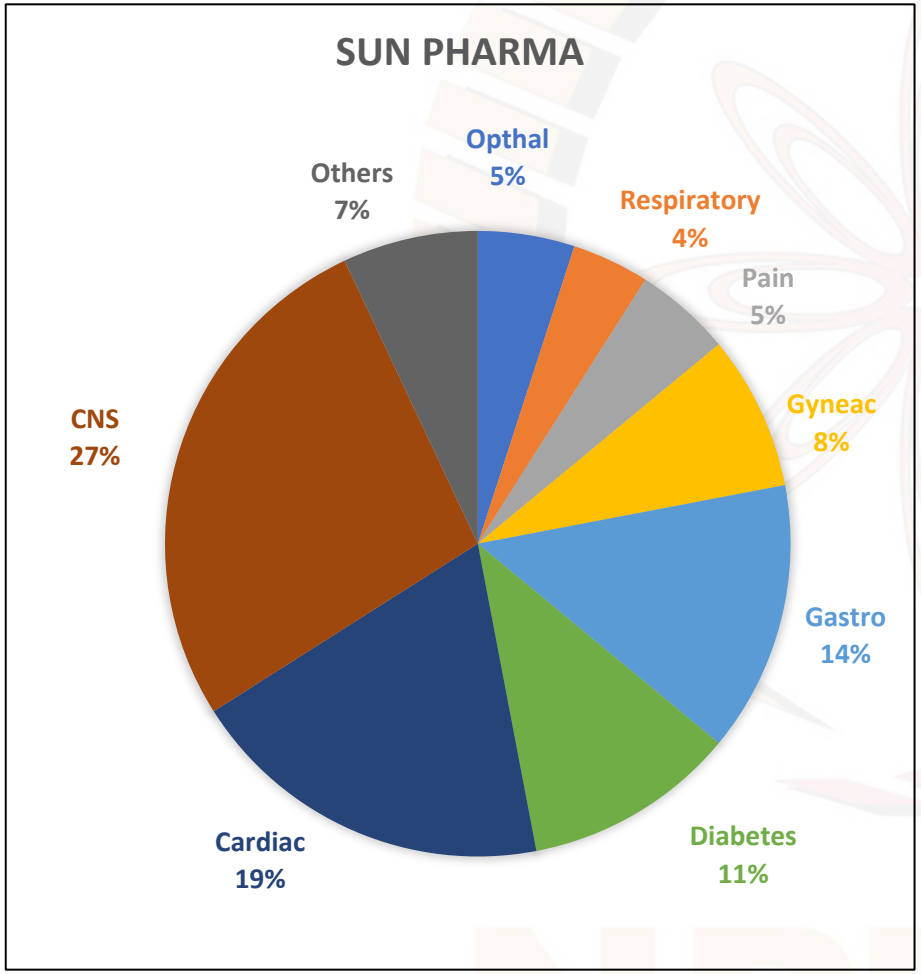
*(Amounts in USD Mn)*

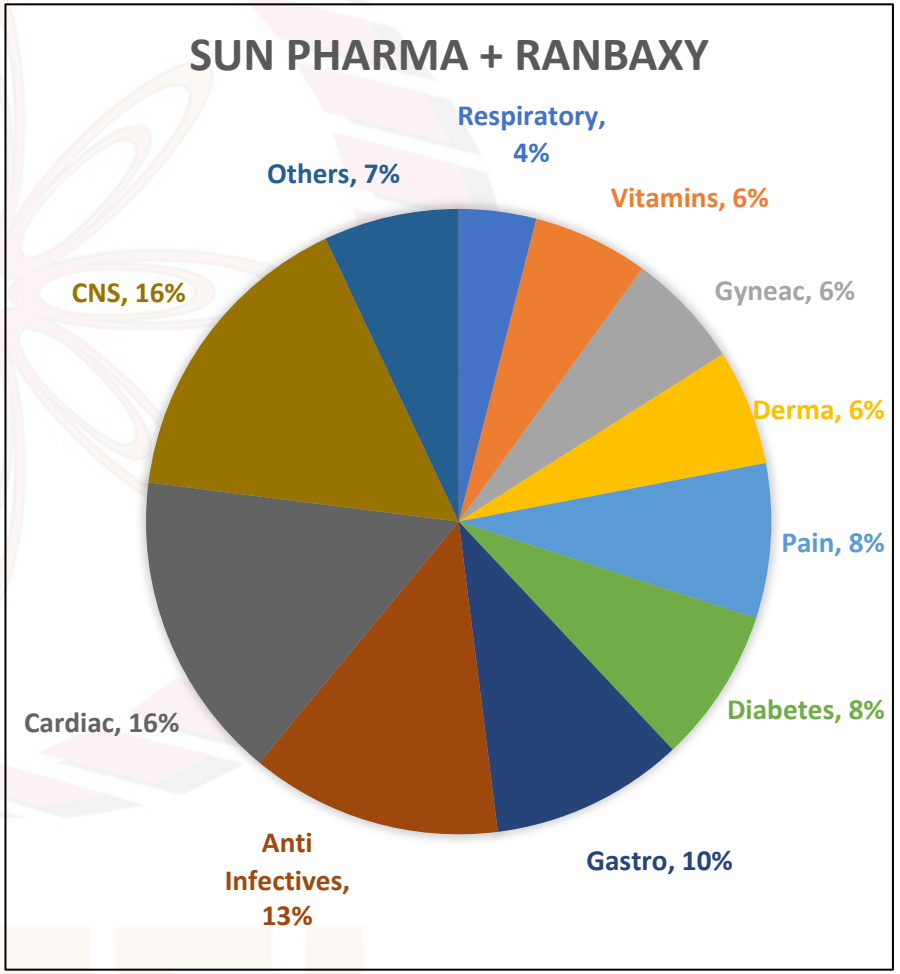
| | CY10E | CY11E | FY13 | FY14 | FY15 | FY16 | FY17 | FY18E | FY19E | FY20E |
|---|---|---|---|---|---|---|---|---|---|---|
| Sales | 393 | 506 | 671 | 759 | 863 | 951 | 879 | 641 | 628 | 659 |
| EBITDA | 108 | 224 | 380 | 449 | 539 | 632 | 522 | 308 | 301 | 317 |
| % Margin | 28% | 44% | 57% | 59% | 62% | 67% | 59% | 48% | 48% | 48% |
| | | | | | | | | | | |
| FCV | 65 | 175 | 239 | 336 | 387 | 376 | 402 | 231 | 226 | 237 |
| PV | 63 | 154 | 189 | 240 | 248 | 217 | 209 | 108 | 96 | 90 |
| No of periods | 0.25 | 1.25 | 2.25 | 3.25 | 4.25 | 5.25 | 6.25 | 7.25 | 8.25 | 9.25 |
| PV of FCF (66.3% stake) | 1.071 | | | | | | | | | |
| Terminal Value (66.3% stake) | 679 | | | | | | | | | |
| NPV | 1.750 | | | | | | | | | |
| Capital Employed | 273 | | | | | | | | | |
| **Return on Capital** | **641%** | | | | | | | | | |
| Cost of Capital | 11% | | | | | | | | | |
| Terminal Growth Rate | 2% | | | | | | | | | |
| Payback Period | **3 Years** | | | | | | | | | |

# Therapy Mix: Sun Pharma-Ranbaxy Example

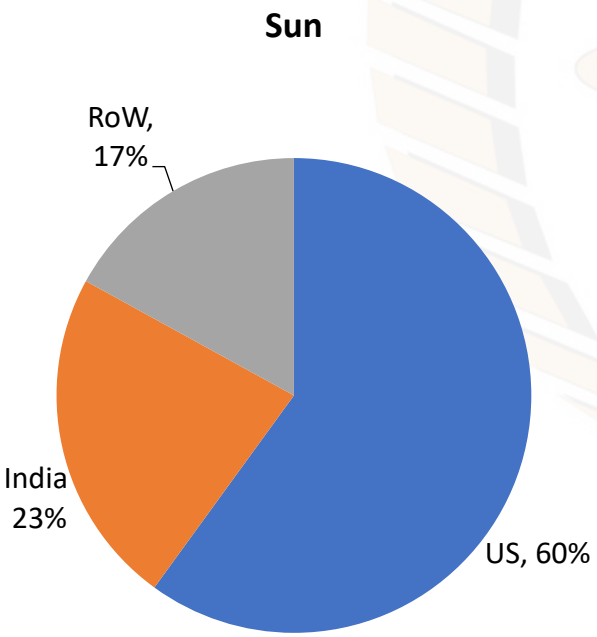
| Sr No. | Therapy | Sun | Ranbaxy | Combined |
|---|---|---|---|---|
| 1 | Psychiatry | ✓✓✓✓ | ✓✓ | ✓✓✓✓ |
| 2 | Neurology | ✓✓✓✓ | ✓✓ | ✓✓✓✓ |
| 3 | Cardiology | ✓✓✓✓ | ✓✓✓ | ✓✓✓✓ |
| 4 | Orthopaedic | ✓✓✓ | ✓✓✓✓ | ✓✓✓✓ |
| 5 | Opthalmology | ✓✓✓✓ | ✓ | ✓✓✓✓ |
| 6 | Gastroenterology | ✓✓✓✓ | ✓✓ | ✓✓✓✓ |
| 7 | Nephrology | ✓✓✓✓ | ✓ | ✓✓✓✓ |
| 8 | Diabetology | ✓✓✓✓ | ✓✓ | ✓✓✓✓ |
| 9 | Dermatology | ✓ | ✓✓✓✓ | ✓✓✓✓ |
| 10 | Urology | ✓ | ✓✓✓✓ | ✓✓✓✓ |
| 11 | Gynaecology | ✓✓✓✓ | ✓✓ | ✓✓✓✓ |
| 12 | Anti-infectives | ✓ | ✓✓✓✓ | ✓✓✓✓ |
| 13 | Dental | ✓ | ✓✓ | ✓✓✓ |
| 14 | Respiratory | ✓✓ | ✓✓ | ✓✓✓ |
| 15 | VMN | ✓ | ✓✓✓ | ✓✓✓ |
| 16 | Oncology | ✓✓ | ✓✓ | ✓✓ |

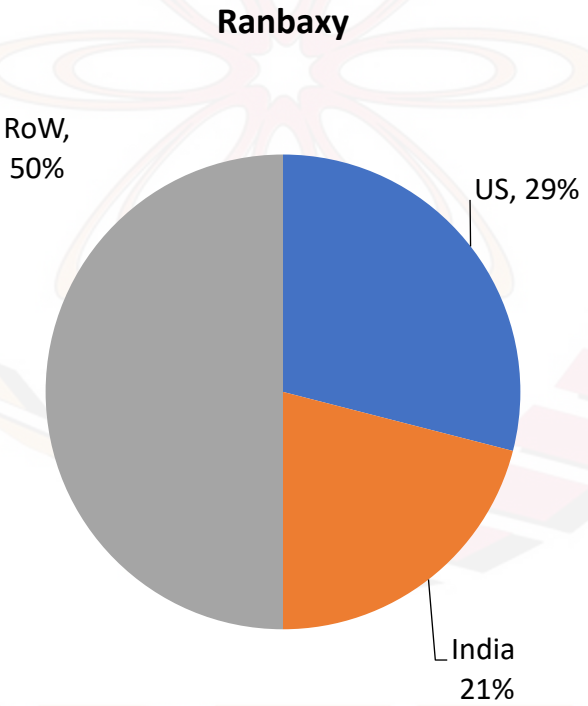
# Broaden Portfolio Mix: Sun Pharma-Ranbaxy Example

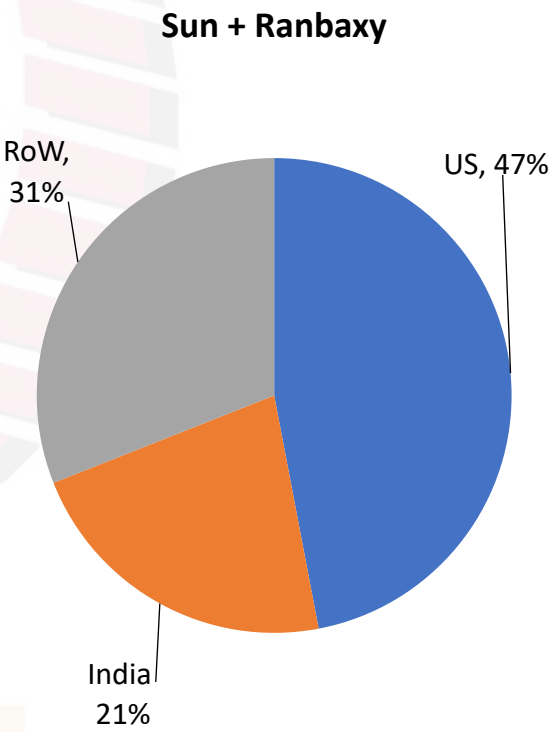


# Geographical Diversification of Revenue Base After the Acquisition Sun Pharma-Ranbaxy Example



# Top Ten Acquisitions in Indian Pharma

| S.N. | Acquirer | Acquired | Year | Consideration | Reason |
|---|---|---|---|---|---|
| 1 | Sun Pharma | Ranbaxy | 2014 | USD 4 Billion | Scale & Scope |
| 2 | Abbott | Piramal | 2010 | USD 3.72 Billion | India Market |
| 3 | Daiichi | Ranbaxy | 2008 | USD 4.6 Billion | Low cost R&D and generic manufacturing entry |
| 4 | Lupin | Gavin, US | 2015 | USD 880 Million | US market expansion, De-risking India plant issues |
| 5 | Lupin | Biocom, Russia | 2015 | NA | Entry into Russia |
| 6 | Sun Pharma | Taro, Israel | 2007 | USD 454 Million | Entry in Derma, US, Israel and Canada |
| 7 | Dr Reddy's | Betapharm | 2006 | USD 480 Million | European generics market |
| 8 | Torrent Pharma | Elder Pharma | 2014<br>2017 | USD 324 Million<br>USD 550 Million | Domestic brands<br>Domestic businesses |
| 9 | Cipla | InvaGen<br>Exelan | 2016 | USD 550 Million | US ANDA pipeline, US manufacturing |
| 10 | Mankind | Panacea | 2022 | USD 253 Million | Focus on exports of pharmaceutical formulations in US |

# Other Indian Pharma Mergers and Acquisitions

| S.N. | Acquirer | Acquired | Year | Consideration | Rationale |
|---|---|---|---|---|---|
| 1 | Intas | Teva (UK, Ireland brands) | 2016 | USD 764 Million | UK local market leadership |
| 2 | Dr Reddy's | Teva (8 ANDAs) | 2016 | USD 350 Million | Strengthening US pipeline |
| 3 | Strides Arcolab | Shasun | 2014 | USD 323 Million | Backward integration into API |
| 4 | | Aspen (Australia) | 2015 | USD 300 Million | Re-entry in Australian market |
| 5 | Jubilant | Draxes | 2008 | USD 255 Million | US high-end radio pharmacological market |
| 6 | Piramal | MallinKrodt (Pain portfolio) | 2017 | USD 273 Million | Pain management portfolio |
| 7 | Zydus Cadila | Sentynyl Therapeutics | 2017 | USD 171 Million | Specialty distribution network |
| 8 | Aurobindo | Natrol | 2014 | USD 133 Million | Access to US nutraceuticals market |
| 9 | Curatio Health | Torrent | 2022 | USD 250 Million | Enhance its presence in dermatology |
| 10 | Sanofi | Shantha Biotechniques | 2009 | USD 784 Million | Vaccines development and manufacturing base for emerging markets |

# Key Takeaways from Indian Pharma M&A Cases

- Sun Pharma-Ranbaxy merger (2014) is a classic case of the strategic intent being right and getting fulfilled (become a Top 5 Global Generics company and achieve therapeutic and geographical distribution) but the deal itself being a huge value destroyer due to multiple regulatory issues faced by Ranbaxy for years

- Sun Pharma-Taro merger (2010) was an analyst's delight with the strategic intent being fulfilled (derma entry and US expansion) along with very quick payback and improved market valuation

- Sun Pharma, in fact, grew over the years based on 16 M&A transactions until the Ranbaxy transaction destroyed huge value; points to the need for objective due diligence being more important than subjective promoter aspirations

- Torrent-Elder M&A (2014) is another interesting M&A which delivered standing and value due to a combination of focused strategic intent, reasonable complementarity and excellent integration management

**Indian Pharma does not have the deep pockets of Big Pharma to take impairments due to failed M&A and follow up failed M&As with successful M&As. The need for professional caution tempering entrepreneurial aspiration is self-evident.**

# Indian Pharma Acquisition Experience – Bittersweet?

## 1. Successful turnarounds and value creators

- **Sun - Taro:** Resulted in therapeutic and geographical growth
- **Torrent - Elder:** Resulted in portfolio optimization and cost savings
- **Aurobindo - Several:** Resulted in portfolio expansion and market reach

## 2. Unsuccessful turnarounds and value destroyers

- **Dr Reddy's - Betapharm:** Too expensive and adversely impacted by dramatic price controls in Germany that got announced soon after
- **Sun - Ranbaxy:** Too expensive and negatively impacted by regulatory and compliance pitfalls at Ranbaxy
- **Lupin - Gavin:** Expensive and revenues did not justify the price paid

NPTEL

# Indian Pharma Acquisition Activities 2022

| Target | Acquirer | Top 10 Deals by Value (in USD Million) |
|---|---|---|
| Panacea | Mankind | 253 |
| Curatio Health | Torrent | 250 |
| Sanzyme | JB Chem | 85 |
| Oaknet | Eris Life | 83 |
| Novartis | Dr Reddy's | 62 |
| Anglo French | Lupin | 44 |
| Razel | JB Chem | 39 |
| Novartis | JB Chem | 33 |
| Boehringer Ingelheim | Lupin | 26 |
| J&J Unit (Telangana) | Hetero | 16 |

Source: Indian pharma companies turn bullish on M&A route - Times of India (indiatimes.com)

# Indian Pharma Merger & Activities 2022

The Indian Pharma industry saw 16 deals during 2022 worth nearly a billion dollars

Most of these M&A deals have been backed by private equity investors

Among these, the largest deals include Torrent's buyout of dermatology firm Curatio Healthcare, and Mankind Pharma's acquisition of Panacea's domestic formulation brands

Mumbai-based JB Pharma made four deals, the latest being the acquisition of Glenmark's cardiac brand Razel in India and Nepal

Most of the M&A have been done by Indian pharma companies. Multinational pharmaceutical companies, on the other hand, have been net sellers in the branded generic space. This is usually an outcome of their global portfolio rationalization.

Source: Indian pharma companies turn bullish on M&A route - Times of India (indiatimes.com)

# Some Big Pharma M&A Examples

| | | |
|---|---|---|
| Pfizer-Biohaven (2022)<br>USD 11.6 Bn | Amgen-Horizon (2022)<br>USD 27.8 Bn | Merck-Acceleron (2021)<br>USD 11.5 Bn |
| AbbVie-Allergan (2020)<br>USD 63 Bn | Amgen- Otezla (2019)<br>USD 13.4 Bn | BMS-Celgene (2019)<br>USD 95 Bn |
| Sanofi-Bioverativ (2018)<br>USD 11.6 | Takeda-Shire (2018)<br>USD 62 Bn | GSK-Novartis Vaccines (2018)<br>USD 13 |

Typically, product pipeline requirements and synergies (cost savings) drive large M&A transactions in Big Pharma.

# Reasons For Big Pharma M&A

- Increasing time and cost of new drug development (USD 1.4 to 2.6 billion per drug over a 10-year development period)
- Increasing cost of R&D investments over the typically multi-year organic route (on average 20% of sales; USD 2 to 10 billion)
- Attractiveness of biotech start-ups in discovering and developing novel, innovative medicines to supplement organic product pipeline
- Strategic therapeutic repositioning through mergers and acquisitions (from narrow to broad therapeutic profile)
- Need to protect and grow revenue and profitability, and remain in industry top-league
- Move up from mid-scale to large scale and overcome competitive weaknesses
- Efficient capital allocation through R&D and manufacturing synergies at industry level
- Restructuring of business with refocused business objectives

Typically, product pipeline requirements and synergies (cost savings) drive large M&A transactions in Big Pharma.

# Pfizer's Growth Through Acquisitions – Some Key Ones

| S.N. | Year | Target | Transaction Type | Value with Debt (USD) |
|---|---|---|---|---|
| 1 | 2019 | Therachon | Acquisition | 340 Million |
| 2 | 2016 | Medivation | Acquisition | 14 Billion |
| 3 | 2016 | Bamboo Therapeutics | Acquisition | 645 Million |
| 4 | 2016 | BIND Therapeutics | Acquisition | 40 Million |
| 5 | 2016 | Anacor Pharmaceutical | Acquisition | 5.2 Billion |
| 6 | 2015 | Redvax | Acquisition | - |
| 7 | 2015 | Hospira | Acquisition | 17 Billion |
| 8 | 2014 | Baxter International - Marketed Vaccines | Acquisition | 635 Million |
| 9 | 2014 | InnoPharma | Acquisition | 225 Million |
| 10 | 2009 | Wyeth | Acquisition | 68 Billion |
| 11 | 2002 | Pharmacia | Acquisition | 64.3 Billion |
| 12 | 1999 | Warner-Lambert | Acquisition | 111.8 Billion |

Pfizer's sales revenue in 1998 was USD 23 billion, which increased to USD 54 billion in 2018.
During this period, the Company invested USD 300 billion on various deals, including the above, to become the largest global pharmaceutical corporation!

Follow this link for Pfizer-Mylan 2019 Deal that seeks to create a new generics behemoth;
https://www.championforglobalhealth.com/-/media/championforglobalhealth/pdf/mylanupjohninvestorpresentation072919.pdf

# Noteworthy Mergers & Acquisitions 2022

| Acquirer | Target | Type | Value |
|---|---|---|---|
| Tata Group | Air India | Acquisition | $ 2.4 Billion |
| Elon Musk | Twitter | Acquisition | $ 44 Billion |
| PVR | INOX | Merger | |
| Adani Group | NDTV | Acquired a stake of 37.45% | |
| Adani Group | Ambuja Cements & ACC | Acquisition | $ 10.5 Billion |
| HDFC Bank | HDFC Investments and HDFC Holdings | Merger | $ 40 Billion |
| Zomato | Blinkit | Acquisition | $568 Million |
| Broadcom | VMware | Acquisition | $61 Billion |
| Adobe | Figma | Acquisition | $20 Billion |
| Oracle | Cerner | Acquisition | $28.3 Billion |
| Microsoft | Activision Blizzard | Acquisition | $68.7 Billion |
| Microsoft | Nuance | Acquisition | $19.7 Billion |
| Biocon | Viatris | Acquisition | $ 3.3 Billion |
| ArcelorMittal | Essar Ports & Power | Acquired Captive Assets | $ 2.4 Billion |
| Carlyle & Advent | Yes Bank | Acquired a stake of 20% | $1.1 Billion |
| Moj | MX TakaTak | Merger | $700 Million |
| Prologis | Prologis | Merger | $26 Billion |
| Amazon | One Medical | Acquisition | $3.5 Billion |
| Sony | Bungie | Acquisition | $3.6 Billion |
| Pfizer | Biohaven Pharmaceutical | Acquisition | $11.6 Billion |
| AMD | Xilinx | Acquisition | $49 Billion |

# The Path to Alliance and M&A Value Creation

- Leadership in acquirer
- Hesitant collaboration by local partner

- Opening up of mutual mindsets
- Leadership for collaborators and facilitators

- Execution specialists
- Problem solvers
- Change agents

- Accountability management
- Efficiency experts
- New cultural anchors

- Visionaries
- Strategists
- Global Executives

**Familiarization**
- Executives of both companies get familiar with each other
- Build professional rapport while protecting respective company interests

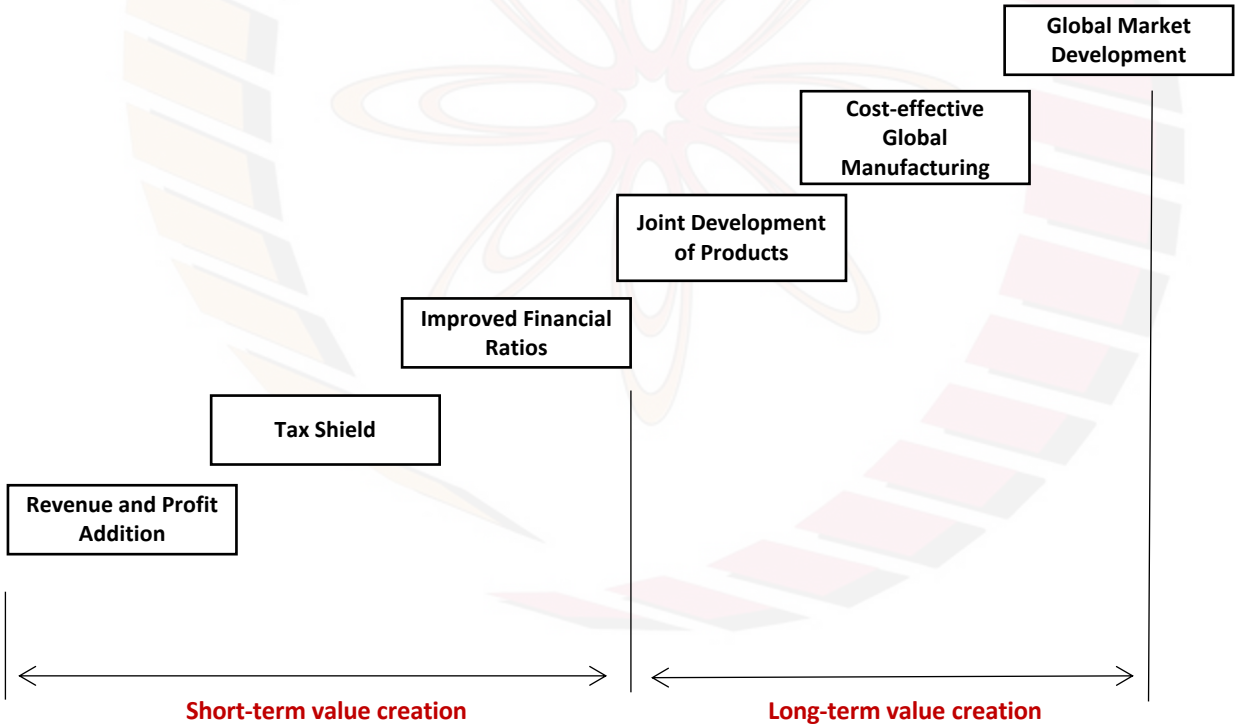
**Integration**
- Understand in depth process of both companies/partners
- Develop hybrid processes that meet global and local needs
- Set up Steering committees and program management offices

**Transition**
- Provide operational hand holding
- Secure mutual alignment
- Depute parent employees long period
- Develop agendas and execution plans
- Demonstrate success with low hanging fruits

**Optimization**
- Accomplish synergies
- Enhance capabilities
- Drive revenues and profitability
- Integrate into global network

**Transformation**
- Create a new sense of purpose
- Develop strategic plan B a new trajectory
- Create a new entity

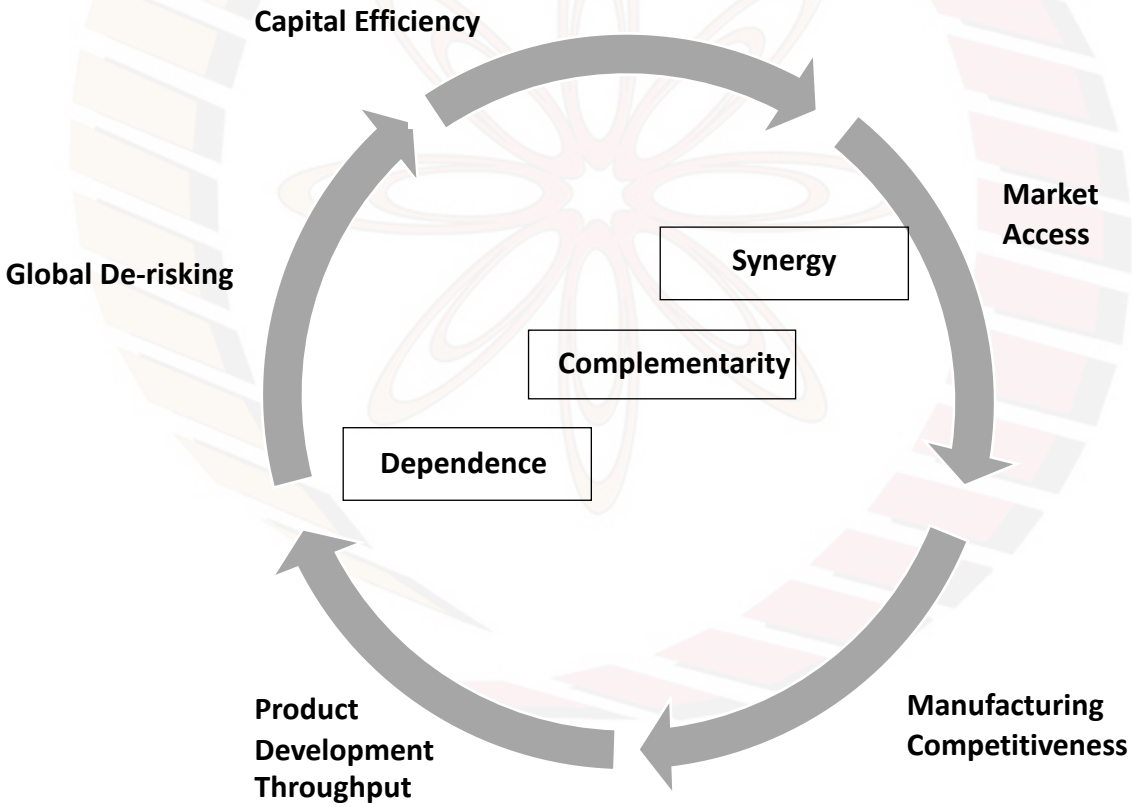
# Value Creation in M&As



# A Framework for Successful M&A

| Integration Element | Best Practices |
|---|---|
| **Vision and Values** | • Reconfirm the shared vision through leadership meetings<br>• Clearly articulate shared values |
| **Strategy** | • Develop detailed business and functional plans, with metrics and milestones<br>• Develop a phased integration programme<br>• Aim at 'low hanging fruits' for early successes<br>• Begin executing on medium and long term growth plans |
| **Structure and Systems** | • Redefine business and organizational structures<br>• Establish the best business processes, including empowerment and accountability<br>• Select the best leadership from both partners to lead change<br>• Handle organizational issues, perceptively and swiftly<br>• Deploy IT and digitization from the early stages of integration<br>• Establish a Project Management Office |
| **Culture** | • Strive to retain the best parts of both the cultures<br>• Eliminate any disruptive facets of culture<br>• Identify and articulate cultural anchors; keep communicating |
| **Leadership and Governance** | • Select the best-in-class leaders with equitable representation of partner and JV interests<br>• Establish a strong board with a good mix of investor directors and independent directors<br>• Develop succession plans, including global career development plans as applicable |

# Drivers for Collaborations, Alliances, Joint Ventures, Subsidiaries, and M&A




Successful initiatives move from 'dependence' to 'synergy', over a period of time, fully leveraging the five drivers

# Business Development Structural Approaches Compared

| Factor | Internal Division | Institutional Collaboration | Strategic Alliance | Joint Venture | Subsidiary | Merger or Acquisition |
|---|---|---|---|---|---|---|
| **Ownership** | Own company | No ownership issue | No ownership issue | Ownership issue | Needs capital commitment | Investment-intensive |
| **Marketing impact** | Proportional to products and people | Major beneficial impact through big customers | Pooling of capabilities and resources of partners | Capital support needed with long term horizon | Marketing as business driver; requires capital support and leadership | Immediate marketing boost; portfolio diversification |
| **Opportunity and limitation** | Limited to company's own portfolio | Linked to the requirements of the partner | Optimizes resource consumption; helps channel resources, as applicable, to product development and market development | Enables long term strategic independence; could be restrained by ownership issues | Same as internal division with potential for standalone value creation | Enhances critical mass of growth; Catapults the firm higher |
| **Strategic marketing drive** | Low | Low-Medium | Medium | High | High | Very High |
| **Reward** | Low | Medium | High | High | High | Very High |
| **Risk** | Low | Low | Low | Medium | High | Medium |

# Thank you!